



Transformation, Operations, and Customer Experience

Quarterly Business Review

January 24, 2025

Data as of December 31, 2024

Agenda

Quarterly Business Review | Jan 24, 2025 (9:30– 12:00)

Welcome, What to Expect in 2025	Millie Virgil	9:30	-	9:35
Key Performance Indicators	Melanie Petrosene	9:35	-	9:40
Financial Performance	Kevin Vieira / Rick Edwards	9:40	-	9:45
Transformation & Rapid Response <i>2024 Achievements</i> <i>2025 Q1 Readiness</i>	Bryce Williams Jaime Vega Sarah Summer	9:45	-	10:10
Operations 2024 Achievements and Health of the Business <i>Payment Integrity</i> <i>Encounters</i> <i>Claims</i> <i>Provider Operations</i> <i>Product Operations</i> <i>Hot Topic: Third Party Administrator Performance</i>	Tim Evans Denise Ciufo	10:10	-	10:35
Customer Experience 2024 Achievements and Health of the Business <i>Member Services</i> <i>Broker Services</i> <i>Provider Services</i> <i>Hot Topic: Open Enrollment Readiness</i>	Vivian Phillips Husband Betty Blakeman	10:35	-	11:00
Break		11:00	-	11:10
Healthcare Business Operations and Enrollment & Billing 2024 Achievements and Health of the Business <i>Provider Dispute Resolution</i> <i>Appeals & Grievances</i> <i>Medicare Dedicated Operations</i> <i>Enrollment & Billing</i>	Mike Roehm	11:10	-	11:35
Enablement Organization Update <i>Hot Topic: Member Touchpoint Measures</i> <i>Hot Topic: Performance Guarantees</i>	Melanie Petrosene	11:35	-	11:50
People Strategy	Jon Hillis	11:50	-	11:55
Pass the GOAT	Marci Flinders	11:55	-	12:00
Conclusion	Millie Virgil			



2025 Must Achieves

Millie Virgil

"Must-haves" to Achieve 2025 Goals: Vivian Phillips Husband

Ending Outcome

Best-fit service approach

- Increased digital adoption rates
- Meet NPS and Forrester metrics
- Alignment and integration between contact center and digital in context to service interactions

Improve Functional Control Operating Model

- Improvement in Member Touchpoint Measure (MTM) accuracy
- Centralized quality performance, focused audits, action plans, and oversight

Customer Experience Technology Foundation

- Aligned path for resolving data center closure impact to Avaya and meeting organizational priority dependencies and requirements

What Has to be Done this Year

- Implementation of call intent outcomes and further iteration of sentiment analysis (informs best-fit, and technology enablement). More work needed to refine output of initial MVP
- Increased support and alignment between contact center and digital on channel and service rationalization against best-fit
- Refinement of channel role in service (rationalize calls, live chat, callback assist, portal, and mobile); should include digital and contact center service parity. In 2025, must land on aligned channel decisions by inquiry types.
- Build centralized quality team and operating model (including role with the business, alignment with Enablement team governance oversight, and with enterprise metric owners)
- Define quality goals, action plans, and establish regular audits and feedback loops
- Conduct focused audits and quality evaluation aligned with Customer Experience changes and priorities (people, process, technology)
- Alignment with TOCE Strategy team and key enterprise stakeholders (Q1; encompasses alignment on interaction management, IVR re-platform, and B2B CRM changes)
- Completed foundational Genesys mapping and sequencing (outsourced, with input and engagement from business and IT teams)
- Integrated decisions made on key intersections and dependencies between contact center and digital, and sequencing that best delivers capabilities with crossover into Growth pillars
- Decision regarding strategic funding for advancement

"Must-haves" to Achieve 2025 Goals: Betty Blakeman

Ending Outcome

Service Placement and performance (BSC and Vendor)

- *Aligned and improved operating model and work distribution for vendor and BSC*
- *Improve vendor performance in key metrics and areas:*
 - *Net Promoter Score*
 - *Agent satisfaction*
 - *Issue resolution*
 - *Attrition*
 - *MTM Accuracy & Timeliness*

What Has to be Done this Year

Improve vendor performance in key metric scenarios:

- Utilize voice of the customer to improve the customer service experience
- Understand the requirements and costs to redesign Broker and Provider post call surveys to move away from the vendor and migrate to same system as member
- Build accountability model and develop shared goals.
- Identify high risk vendors and ensure business resiliency plans are in place.

Revisiting operational model and work distribution as it relates to vendor and BSC:

- Calculate the all in costs to support vendors to understand cost per call
- Establish a governance and oversight structure that tracks the delivery of SLAs, budget and overall performance
- Resource allocation: review and create resource modeling (with WFM) to improve staffing and service delivery
- Ensure contracts are in line with Blue Shield of California goals

"Must-haves" to Achieve 2025 Goals: Mike Roehm

Ending Outcome

Transform within the business

Transformation resource added to the business to help drive:

- PEGA workflow and SAW Replacement
- Reporting improvements for ID Card Accuracy and Timeliness

Appeals and Grievances

Align on future direction for a complete end-to-end AGD solution.

Continue the insights to action feedback loop to reduce top appeal drivers.

Go Digital

Increase digital submissions for Provider disputes and digital applications for Enrollment

Benefits: Timeliness, Accuracy, Cost

What Has to be Done this Year

- Form a dedicated cross-functional team that will identify the top 5 automation and improvement opportunities and execute initiatives that deliver measurable results.
- Discovery and initial assessment of core processes and opportunities. Identify top 5 initiatives and develop execution plan.
- 6 Months: cost savings, risk mitigation, determine if expand or stop pilot
- Refresh business case 2025/2026
- Medicare Stars timeliness measure for Appeals goal 100% for CMS cut point for 5 Stars. Need alignment on single platform to reduce risk of misses.
- Increase digital applications for Enrollment to allow for improved automation and reduce risk of manually processing.
- Require brokers to submit digital applications.
- Increase digital Provider adoption from current state of 65% digital disputes.

"Must-haves" to Achieve 2025 Goals: Tim Evans

Ending Outcome

Support Environment & Architecture Changes

Ensure proper level of Operational support for key work (Facets to Platform-as-a-Service, Bencap and Pacman retirement, Cloud Strategy, Digital Health Record rollout, etc.)

Increase Automation & Digitization

- *Increase CalPERS auto adjudication, support Growth, config automation*
- *Eliminate paper driven processes*
- *New EOB - easy to maintain, easy to understand, and multi-lingual/accessible*

Improve Onboarding & Support for Large & Self-Funded Groups

Partnership with growth to define large group operating/post implementation model and Support efforts to improve out-of-state member experience by leveraging CalPERS experience to drive roadmap

What Has to be Done this Year

- Understand capacity and address resourcing (including funding) to cover scope of changes
- Have defined path for resource contention or change misalignment for prioritization & decisions
- Organizational cross-portfolio change management plan
- Improved testing processes to not create incidents post changes
- Clarity on outcomes to be achieved to ensure efforts are focused

- Space and focus to add CalPERS benefit automation
- Manage Facets related customization restrictions
- Prioritization process from Growth for new benefit capabilities (e.g. steerage), along with space and focus to add
- Alignment on Facets configuration operating model (e.g. not rebuilding product annually)
- Continued support for automation & digitization
- Define EOB program for 2026 investment submission

- Retrospective on CalPERS with identification of needed ongoing capabilities and action plan to create them
- Based on Growth feedback on relationship model needed for large groups, review TOCE processes to support operating model and work with D&A to provide reporting
- Working with Growth, define 2026 list of investment opportunities to support benefit capabilities and out-of-state capabilities
- Support ongoing out-of-state experience improvements

"Must-haves" to Achieve 2025 Goals: Denise Ciufu

Ending Outcome

Hit Operational KPIs (incl. BCBSA) & Mandates

Compliant with all mandates
A list of leading indicators to quickly identify change.
Quickly adjust when risk is identified

What Has to be Done this Year

- Mandates need to be reviewed and delivered to implementation teams timely.
- Designated/dedicated Team for driving and delivering on mandates.
- Identify areas risk and map back to KPIs
- Data and Analytics team support for the creation of new metrics/dashboards.
- Development of KPI's for groups with performance guarantees
- A new set of leading KPI's for BCBSA performance requirements.

Improve Functional Control Operating Model

Build control models specific to new large groups that monitor the operations health end to end.

- Dedicated team responsible for monitoring controls within Operations
- Collaboration with all areas impacting Operations
- Complete review of all controls in Archer
- Develop a testing model
- Document the cadence for testing controls

Support Revised Provider Engagement Model

- Termination playbook
- Increased provider reporting & engagement
- TPA, Other Blues, and Promise support model

- Complete engagement with Moss Adams
- Implementation of recommendations from Moss Adams
- Collaboration with Network Management and Operations
- Partnership with self funded client operations regarding TPA performance
- Better relationship management and escalation process with partner plans
- Work with Network and other internal groups to monitor and managed provider accounts receivables (including better reporting), in alignment with any Moss Adams recommendations

"Must-haves" to Achieve 2025 Goals: Bryce Williams

Ending Outcome	What Has to be Done this Year
The Team: <i>Culture of Victory Year Two</i>	• Expectations: numerical quality of success ◦ Clearly measurable outcomes and commitments • Execution: velocity, quality, and efficiency ◦ Traceability with agile tooling and executive dashboard • Evaluation: touchdown, field goal, and fumble ◦ Highlight achievements and lessons learned
The Work: <i>Core</i>	• Transformation: Deliver strategic initiatives on time, on scope, on budget ◦ Pharmacy Care Reimagined I & II ◦ Real Time Authorization ◦ Benefit Capture II ◦ Simply Automated Workflow (SAW) ◦ Promise Print • Rapid Response: CalPERS stabilization/remediation and End-to-End GLP-1 medication strategy implementation • Salesforce/Pega Center of Excellence: Salesforce contract renewal and Data Cloud Implementation
The Work: <i>De Novo</i>	• Transformation: Secure senior staff alignment on "go big & go home" three-year exit strategy • TOCE Strategy (inclusive of artificial intelligence) & Mandates • "Digital" Print Operations Strategy • Transformation "within the business" pilot

"Must-haves" to Achieve 2025 Goals: Melanie Petrosene

Ending Outcome

Dedicated Growth Liaison Roles

- *Single point of contact for Line of Business. Escalation path for issues and concerns*
- *Immersed in line of business management team*

Performance Enablement

- *Create governance structure to strengthen transparency, accountability, and standardization*

Regulatory and Risk Management

- *Be compliant and audit-ready at all times*

What Has to be Done this Year

- Determine number of positions and leveling.
- Solve for budget requirements.
- Provide 'TOCE' reporting and insights (KPIs by line of business, P&L reporting, regulatory compliance, quality, performance guarantees, open enrollment)
- Establish cross functional relationships within TOCE and across the enterprise to provide holistic line of business strategy and execution lens
- Launch centralized root cause remediation team
- Meet or beat Association compliance measures, with an emphasis on Local Operations Scorecard
- Expand Inventory Governance, Accuracy Governance, Vendor Governance, and Insights to Action to all TOCE areas
- Meet or beat TOCE measures within Medicare Stars, Net Promoter Score, Forrester, and Consumer Assessment of Healthcare Providers and Systems
- Optimize reporting (standardize, automate, and ensure reports are being used effectively)
- Achieve 'Satisfactory' audit rating on 100% of internal audits (currently scheduled for 20 in 2025)
- Timely closure of all Corrective Action Plans
- Strengthen internal controls for high-risk areas
- Strengthen business resiliency plans
- Create regulatory dashboards which include a Line of Business view and ensure compliance
- Identify operational root causes of legal settlements and remediate



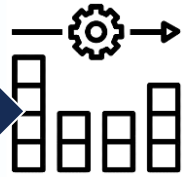
Key Performance Indicators

Melanie Petrosene

WHAT'S THE SCORE?

Transformation, Operations, and Customer Experience
Year-to-date as of December 31, 2024

Higher membership
Retroactive Covid-19 payments
Mail correspondence backlog
Change Healthcare incident



VOLUME



TIMELINESS



ACCURACY



COST

Claims
Provider Operations
Calls
Inquiries
Appeals & Grievances
Provider Disputes
Enrollment
Product



Critical Key Performance Indicators *(page 1 of 2)*

Area	Key Performance Indicator	2022 Actual	2023 Actual	2024 Actual	2025 Plan	Compliance Requirement	Industry Standard
Member Services Vivian Phillips Husband	Admin Expense Per Member Per Month (PMPM)	\$2.62	\$2.35	\$1.95	\$1.88	n/a	n/a
	Cost per Call Handled	\$29.20	\$26.68	\$25.81	\$28.14	n/a	n/a
	Service Level (% of calls answered within 30 seconds)	88.9%	86.5%	82.5%	85%	n/a	80%
	Average Speed of Answer (seconds)	31	37	52	30	n/a	30
	Abandonment Rate	1.9%	1.9%	2.7%	3.0%	n/a	5.0%
	Occupancy (productive hours as a percentage of total hours)	64.0%	73.0%	73.0%	82.6%	n/a	75%-85%
	Turnover (annualized employee turnover post-training)	6.0%	4.8%	4.8%	3.2%	n/a	20.0%
	First Call Resolution	90.8%	91.6%	91.2%	91%	n/a	75%
Claims Denise Ciufo	Admin Expense Per Member Per Month (PMPM)	\$1.02	\$1.08	\$0.90	\$0.87	n/a	n/a
	Cost per Claim	\$0.90	\$0.98	\$0.97	\$0.95	n/a	n/a
	% Claims Aged Over 30 Days for workable claims	4.5%	3.2%	3.4%	3.0%	n/a	n/a
	% Interest Expense per Paid Claim	0.15%	0.14%	0.20%	0.17%	n/a	n/a
	National Programs Scorecard (points)	75.4	88.5	82.2	80.0	80.0	n/a
Enrollment & Billing Mike Roehm	Admin Expense Per Member Per Month (PMPM)	\$0.52	\$0.52	\$0.45	\$0.40	n/a	n/a
	Cost per Enrollment and Billing (excluding Medicare)	\$1.06	\$1.02	\$0.94	\$1.02	n/a	n/a
	Enrollment & Maintenance Timeliness - Group	1.5 days	1.2 days	1.5 days	2 days	n/a	n/a
	Enrollment & Maintenance - IFP within SLA	94.2%	82.1%	95.5%	95%	n/a	n/a

Critical Key Performance Indicators *(page 2 of 2)*

Area	Key Performance Indicator	2022 Actual	2023 Actual	2024 Actual	2025 Plan	Compliance Requirement	Industry Standard
Appeals & Grievances Mike Roehm	Admin Expense Per Member Per Month (PMPM)	\$0.39	\$0.40	\$0.37	\$0.35	n/a	n/a
	Appeals and Grievances: Cost per Appeal and Grievance	\$179.57	\$178.24	\$169.54	\$159.11	n/a	n/a
	Grievances: Standard Grievances Resolved in 30 Days	99.3%	99.5%	99.3%	95%	95%	n/a
	Appeals: Standard Appeals Resolved in 30 Days	99.6%	99.6%	100%	95%	95%	n/a
	Appeals: Expedited within 72 Hours	99%	97%	99%	95%	95%	n/a
	Appeals and Grievances: % Compliance Quality	97%	95%	97%	95%	95%	n/a
Provider Disputes Mike Roehm	Admin Expense Per Member Per Month (PMPM)	\$0.22	\$0.24	\$0.17	\$0.12	n/a	n/a
	Provider Dispute Unit Cost	not available	\$25.43	\$15.29	\$15.96	n/a	n/a
	Resolution Letter Timeliness: 45 working days (Commercial & Medi-Cal) and 60 calendar days (Medicare and CMC)	94.0%	80.8%	94.3%	95%	95%	n/a
	Effectuation Timeliness: Payment within 5 working days from case closure (Commercial & Medi-Cal)	not available	92%	96%	95%	95%	n/a
	Interest Payment Quality Scores	not available	95.5%	98.7%	95%	95%	n/a
LOS All	Local Operations Scorecard (Association Measure) (points)	MTM 1H: 94.20 MTM 2H: 80.63	MTM 1H: 79.18 MTM 2H: 71.31	MTM 1H: 80.03 MTM 2H: 81.04	LOS 1H: 85.41 points	Compliant = 80 points	n/a

Operations | Tim Evans
Year-to-date as of December 31, 2024

		Volume			Timeliness				Accuracy				Unit Cost		
Year-to-date Most recent three month actuals		Actual	Plan		Actual		Plan		Actual		Plan	Actual	Plan		
Claims	Claims	▲▲	55.0M	47.2M	●	3.4%		3.0%	●	99.4%		99.0%	●	\$0.97	\$1.09
	Claims per Member per Month		0.97	0.89	↑	1.5%	1.7%	3.3%	↓	100.0%	100.0%	96.6%			
					Workable claims aged > 30 Days				Claims financial dollar accuracy						
Provider Operations	Contract Configuration	▲	2,281	3,276	●	81.1%		75.0%	●	99.8%		98.0%	n/a	n/a	
					↓	82.7%	85.4%	54.0%	-	99.8%	99.9%	99.7%			
					Contract configuration within 30 days				Contract configuration quality						
	Provider Enrollment	▲▲	2,242k	810k	●	99.0%		95.0%	●	99.2%		99.0%	n/a	n/a	
					-	99.4%	99.3%	99.4%	-	99.6%	99.4%	99.3%			
					Provider enrollments within 30 days				Provider enrollments quality						
Encounters Performance	Encounters Performance	▲	15.8M	14.9M	●	93.2%		92.0%	see below by LOB				●	\$0.37	\$0.36
					Encounters processed within 0-3 days										
	Medicare Completion Rate								●	99.5%		98.0%			
	Medi-Cal Completion Rate								●	95.6%		95.0%			
Product	Product	▲	5,737	4,719	●	91.8%		98.0%	●	96.4%		98.0%	n/a	n/a	
					↓	98.0%	83.5%	86.7%	↓	97.7%	98.7%	95.2%			
					Product builds within SLA				% of new products without incidents						
Incident Management	Incident Volume	▲▲	13,020	7,273	●	5 hours		43 hours	●	92%		90%	n/a	n/a	
					Mean time to resolve P1/P2 issues (hours)				Incident SLA performance						
	Incident Backlog (total)		113	150	-	3.77	3.51	4	↓	92.4%	92.5%	91.2%	n/a	n/a	

WHAT'S THE SCORE?

Customer Service | Vivian Phillips Husband
Year-to-date as of December 31, 2024

		Volume		Timeliness			Accuracy			Satisfaction			Unit Cost					
Year-to-date		Actual	Plan	Actual		Plan	Actual		Plan	Actual		Plan	Actual	Plan				
Most recent three month actuals																		
Member	Calls	▲▲ 4.6M	3.8M	●	82.5%		80.0%	●	91.2%		91.0%	●	89.1%		89.0%	●	\$25.81	\$27.17
	Calls per 1,000 Members per Month	▲▲ 5.1	4.6	↓	90.2%	90.0%	84.3%	-	90.5%	90.5%	88.9%	↓	88.4%	89.2%	87.6%			
					Calls answered within 30 seconds				Issue Resolution				Satisfaction with agent					
	Chat	tbd	tbd	●	tbd		tbd	●	tbd		tbd	●	tbd		tbd	●	tbd	tbd
	Closed Inquiries (MTM Scope)	3.9M	n/a	●	98.2%		95.0%	●	tbd		tbd		n/a		n/a	n/a	n/a	n/a
				↑	98.0%	98.0%	98.5%											
					Inquiries processed within 10 days													
Broker	Calls	▲ 268k	279k	●	89.1%		80.0%	●	80.3%		85.0%	●	95.7%		90.0%	●	\$62.33	\$50.35
	Calls per 1,000 Members per Month	▲▲ 0.9	0.8	↓	84.4%	85.0%	69.9%	↑	81.0%	82.1%	82.4%	-	96.0%	96.0%	95.4%			
					Calls answered within 30 seconds				First call resolution				Satisfaction with agent					
	Chat	▲ 22k	42k		n/a		n/a	●	82.1%		80.0%	●	87.7%		80.0%	●	tbd	tbd
				↓	81.0%	77.6%	73.1%					↓	79.5%	82.9%	76.9%			
					First chat resolution				Satisfaction with agent				Satisfaction with agent					
	Closed Inquiries (MTM Scope)	0.3M	n/a	●	95.6%		95.0%	●	tbd		tbd		n/a		n/a	n/a	n/a	n/a
				↑	98.0%	93.5%	96.0%											
					Inquiries processed within 10 days													

WHAT'S THE SCORE?

Customer Service | Vivian Phillips Husband
Year-to-date as of December 31, 2024

		Volume		Timeliness			Accuracy			Satisfaction			Unit Cost											
Year-to-date		Actual	Plan	Actual			Plan			Actual			Plan											
Most recent three month actuals																								
Provider	Calls	▲ 2.0M	2.0M	●	82.3%		80.0%		●	80.3%		85.0%		●	91.6%		90.0%		●	\$4.64		\$4.80		
	Calls per 1,000 Members per Month	▲▲ 2.3	2.2	-	80.4%		77.8% 77.9%		-	78.9%		81.3% 81.6%		-	93.0%		93.0% 92.4%							
					Calls answered within 30 seconds			Issue resolution			Satisfaction with agent													
	Chat	▲ 306k	336k		n/a		n/a		●	69.0%		80.0%		●	73.2%		80.0%		●	\$5.15		tbd		
								First chat resolution			Satisfaction with agent													
	Closed Inquiries (MTM Scope)	2.7M	n/a	●	87.8%		95.0%		●	tbd		tbd			n/a		n/a			n/a		n/a		
				↑	89.5%		94.2% 94.1%																	
					Inquiries processed within 10 days																			
MTM	Closed Inquiries (Member+Broker+Provider)	7.0M	n/a	●	90.6%		95.0%		●	85.3%		98.0%			n/a		n/a			n/a		n/a		
				↑	92.8%		95.9% 96.2%		↑	85.7%		75.0% 89.3%												
					Inquiries finalized within 10 calendar days			Inquiries resolved completely and accurately																

WHAT'S THE SCORE?

Customer Service | Vivian Phillips Husband
Year-to-date as of December 31, 2024

		IFP Service Level		SG Inquiry Timeliness		Comm'l Inquiry Timeliness		Medicare Inquiry Timeliness	
Year-to-date		Actual	Plan	Actual	Plan	Actual	Plan	Actual	Plan
Most recent three month actuals									
Member	Calls	● ↑ 74.2%	80.0%						
		Calls answered within 30 seconds							
Member	Closed Inquiries			● ↑ 98.2%	95.0%	● ↑ 98.2%	95.0%	● - 99.1%	95.0%
				Inquiries processed within 10 days		Inquiries processed within 10 days		Inquiries processed within 10 days	
Broker	Closed Inquiries			● - 95.0%	95.0%				
				Inquiries processed within 10 days					

WHAT'S THE SCORE?

Operations | Mike Roehm
Year-to-date as of December 31, 2024

		Volume			Timeliness			Accuracy			Unit Cost				
Year-to-date		Actual	Plan		Actual		Plan	Actual		Plan	Actual	Plan			
Most recent three month actuals															
Appeals and Grievances	Receipts	▲	109k	101k	●	99.3%		95.0%	●	97.1%		95.0%	\$169.54	n/a	
	Receipts per 1,000 Members per Month	▲	2.0	1.9	-	99.8%	99.9%	99.7%	-	97.1%	97.2%	97.6%			
					Grievances resolved in 30 Days			Compliance quality							
Provider Dispute Resolution	Receipts	▲▲	547k	415k	●	94.3%		95.0%	●	98.7%		95.0%	●	\$15.29	34.15
	Receipts per Total Claims Receipts per Month	▲▲	1.7%	1.0%	-	98.9%	99.0%	98.7%	-	99.2%	98.7%	100.0%			
					Resolution letter timeliness 45 working days (Commercial & Medi-Cal) 60 calendar days (Medicare and CMC)			Interest payment quality scores							
Enrollment and Billing	Enrollment and Billing Volume (Accuracy is MTM Score)	▲	27.1M	26.6M		tbd		tbd	●	97.5%		99.0%	●	\$0.94	\$1.11
	Enrollment and Billing Volume per Member per Month	▲	0.6	0.6		n/a		n/a	↓	97.4%	100.0%	96.9%			
	Enrollment: ID Card Timeliness (Timeliness is MTM Score)	▲▲	2.2M	1.8M	●	100.0%		99.0%		n/a		n/a			
					Distributed by effective date or 30 days			Enrollments processed accurately							



Financial Performance

Kevin Vieira, Rick Edwards

2024 FINANCIAL HIGHLIGHTS – TOCE

- We are Nimble & Efficient

- Developed and executed on \$4.2M of savings levers mid year to address unplanned headwinds
- Improved AGD cost per case closed by 6.0% from previous year equating to \$1.3M in annual savings
- \$2M savings in PDR compared to prior year due to reduced unit cost
- Improved Member Cost per Call by 3.3% from previous year equating to \$3.9M in annual savings

- We were Collaborative

- Worked cross functionally with LOB leaders to build an achievable budget aligned to goals.
- Continued with savings levers approach which has been adopted by other functions in the organization

2024 Results			
Build a 2024 Plan at Target	\$419.1 million <i>(adj target)</i>	⬆	• \$42M+ Savings Levers implemented • No Plugs and well thought out
Contribute CoHC Savings	\$245M in Recoveries	⬆	• 8% more than Prior Year
Met 2024 Admin Target	\$416.2 million	⬆	• \$2.9M favorable to adj target
Build a 2025 Plan at Target	\$428.5 million	⬆	• \$14M+ Savings Levers built into plan

Thank you for your
diligence and proactive
adjustments which
allowed us to meet a
challenging admin target!



Operations and Customer Experience Health of the Business | Financials *Dec 2024*

	2024 Admin Expense			
	Full Year			
	Actual	Plan	Var	%
Transformation, Operations & Customer Experience	● \$416M	\$415M	(\$1M)	(0.3%)
<i>pmpm</i>	\$7.06	\$7.06	(\$0.00)	(0.0%)
Operations (<i>excluding Recoveries</i>)	▲ \$376M	\$376M	(\$0M)	(0.1%)
<i>pmpm</i>	\$6.39	\$6.40	\$0.01	0.2%
Operations	\$167M	\$168M	\$0.9M	0.5%
Customer Experience	\$153M	\$150M	(\$2.2M)	(1.5%)
Transformation	\$57M	\$58M	\$1.1M	1.9%
Recoveries	\$40M	\$39M	(\$1M)	(2.5%)
<i>pmpm</i>	\$0.68	\$0.66	(\$0.01)	(2.2%)
Recoveries	\$40M	\$39M	(\$1.0M)	(2.5%)

- 2024 Admin expense of \$416M finished the year 0.3% higher than plan of \$415M
- **PMPM fished the year flat to plan at \$7.06**
- Excluding \$4M of approved variance (FEP, SFHSS, postage, and recoveries), TOCE finished the year **\$3M favorable to adj plan of \$419M**
 - Risks/Headwinds
 - (\$2.4M) Nearshore Savings Lever
 - (\$1.1M) Mailroom Burndown Expense
 - (\$1M) Print Mail SB368
 - (\$0.6M) COVID Claims
 - Savings Levers/Offsets
 - \$2.7M ID Cards
 - \$1.9M Transformation (*excl. print mail*) admin efficiency
 - \$1.6M Broker and Provider Savings (to offset nearshore savings)
 - \$0.9M Contingency
 - \$0.8M other misc. Savings

Vendor spend of \$144.9M is (3.3%) Unfavorable to Plan| Dec 2024

Transformation, Operations, and Customer Experience Admin Expense

2024 Vendor Expense		
	Full Year	
	Actual	Plan
Total Vendor Spend	\$144.9M	\$140.2M
Operations and Customer Experience Vendors	\$112.6M	\$109.0M
Sagility (excluding recoveries)	● \$43.0M	\$39.1M
Broadridge	● \$23.9M	\$20.6M
TeleTech	\$22.2M	\$21.9M
HOV/Firstsource	\$5.3M	\$5.7M
SalesForce	\$4.4M	\$4.9M
Arvato Digital Services LLC	\$2.1M	\$4.8M
Other	\$11.6M	\$12.0M
Recoveries Vendors	\$32.3M	\$31.2M
Recoveries	\$32.3M	\$31.2M

- **Sagility (\$3.9M) unfavorable to plan of \$39.1M (excluding recoveries) .**
 - \$2.4M Member Services shifting move volume to vendor
 - \$1.0M Claims mainly due to COVID Holds
 - \$0.8M Provider dispute timing of volume delivery due to mailroom
- **Broadridge (\$3.3M) unfavorable to plan of \$20.6M** due to postage rate increase and timing in SB368 mandate mailing savings.



2024 Transformation Achievements

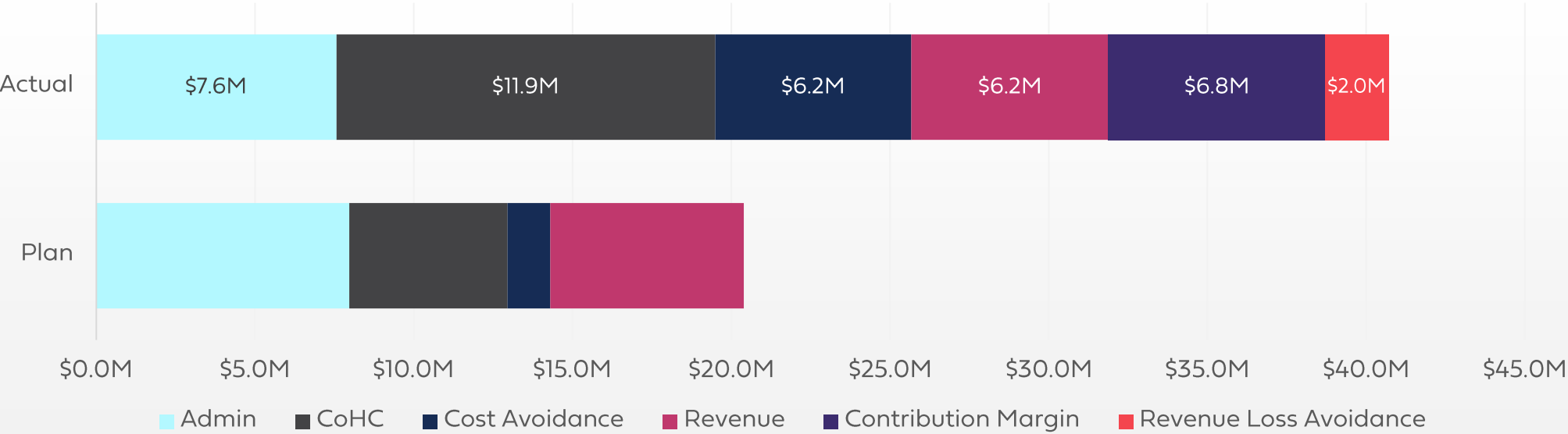
Bryce Williams

2024 Transformation Benefits Exceeded Plan: +100%

2024 Benefits finished the year at \$40.7M exceeding plan by \$20.3M mainly due to

- \$7.0M CoHC
 - \$6.0M Drug Appeals cost Initiative
 - \$0.9M Utilization Management (CoHC)
- \$6.8M Contribution Margin due to the IFP & Dental Account Reinstatement Initiative
- \$4.8M due to Care Connect Administrative Expense and Utilization Management Cost Avoidance
- \$2.0M Encounters Revenue Loss Avoidance

2024 Transformation Savings



Member Experience Transformation | Modular Solution (Pharmacy Care Reimagined)

2024 Accomplishments



Amazon Home Delivery (Module C)

2.5M+

members access Amazon's seamless sign-on experience

>35K

prescriptions successfully transferred from CVS to Amazon



Member Pharmacy Experience

2.5M+

ID re-cards successfully issued without network/access disruption

100%

fully owned and dedicated Blue Shield BIN and PCN number

>50K

communications to support members



CVS Specialty (Module D)

100%

seamless transfer of existing mail orders to Amazon

>22K

members with critical care medications retained their service without any impact

Improved experience and removed single sign on, enabling members to directly order specialty medications from CVS

Member ExperienceTransformation

2024 Accomplishments



Member Reinstatement

13K accounts reinstated through self-service

>60% of reinstatement self-service

\$15.4M+ premium recovered

8 process steps enabled by a simplified digital process, *resulting in 88% improvement in process flow*

1

2.5 weeks → **30 secs** reduction in reinstatement time



Member Inventory Automation

Primary Care Physician (PCP) Selection at Enrollment: Launched capability to enable Individual Family & Plan (IFP) members to select their PCP during enrollment

>34K representing 24% of IFP On Exchange members selected their PCP during enrollment
(of ~143K Prospects)

0% → 100% fully automated Medicare Group Enrollment data Ingestion

100% Medicare Supplement electronic enrollments processed in Pega; *with an average volume split of ~40% electronic, ~60% manual in MAM (Medicare Application Manager)*

Provider and Clinical Experience Transformation

2024 Accomplishments



Provider Contract Configuration

33%

of professional contracts (Behavior Health) configured fully automated, up from 7% in 2023, resulting in 11 FTE cost avoidance



Utilization Management

83%

(181 of 221)

of providers on Independent Physician Association (IPA) version 8 converted to IPA version 9 exceeding target of 8 providers

~60%

of providers converted to IPA version 9 adopted provider portal to submit auth log

22%

reduction in calls routed to Clinical UM following the deployment of commercial IVR (Interactive Voice Recognition)



Care Connect

100%

functionally built to enable Medi-Cal members eligibility in Care Connect

>58K

members engagement contact rate

1.3M+

member care gaps loaded in Care Connect, with ~25K care gaps addressed



Encounters

100%

automation for National Drug Codes record submission

\$6.1M

risk adjusted revenue through automated reconciliation process

\$2.1M

avoided revenue loss through cleanup activities

Broker/Employer Transformation Experience

2024 Accomplishments



Employer Enrollment Automation

Completed multi-year, end-to-end (shop, quote, enroll, maintain, renew) small group system migration from legacy point solutions to Salesforce platform.

Retired two major legacy technology systems:
eEnroll & Small Group Online Renewal.



Broker Integrated Strategy

Voice of the Broker

Completed Voice of the Customer research for Small Group and Medicare brokers

Roadmap Alignment

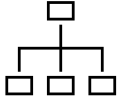
Defined and sized 15 priorities for multi-year broker roadmap.

Improving Broker Self- Service

- 60%** of small group member maintenance on Employer Enrollment (EET)Tool
- 6** major additional digital capabilities introduced in 2024 – totaling 58.
- >50%** incidents reduced by replacing manual processes with a single platform tool

Platform Strategy & Operations

2024 Accomplishments



Pega Center of Excellence (COE)

Established Pega COE to centralize and expand business process automation applications within BSC.



Platform Optimization

\$1M+

Salesforce “swap” negotiated to enhance software utilization

250+

custom components eliminated, significantly reducing Salesforce tech debt



Pega Cloud Migration

Launched in 2024 with completion scheduled for 2025.

Enables new business capabilities like voice artificial intelligence and potential to avoid \$3.8M in infrastructure costs.

Enterprise Rapid Response

2024 Accomplishments

CalPERS Implementation

- In partnership with Growth, CalPERS implementation went live on 1/1/25.

Medicare Access to Care

- In partnership with customer Experience, led Care Navigator program development & roll-out contributing to member quality scores.

GLP-1 Strategy

- Developing integrated GLP-1 strategy to address multiple, often-competing, tactical solutions aimed at improving member/provider experience and cost of healthcare expenses.

Pharmacy Care Reimagined

- Built relationships with leaders at 10 major manufacturers.
- Worked with Eli Lilly and Amazon Pharmacy to create an innovative net price contracting model that can be used in future years post go-live.
- Worked closely with pharmacy team and biosimilar manufacturers on a unique net price deal for Humira biosimilar which will go live in 2025.



2025 Q1 Readiness

Bryce Williams

2025 Q1 Readiness

Pharmacy Reimagined	Outcome	Deliverables/Milestones	Dependencies	Metrics for Success
	• Successful go-live of new Pharmacy Modular Solutions program • Ensure successful access for all 2.5M+ with pharmacy benefits • Pharmacy call volumes and service levels within projected range/forecast for Q1	• By 1/1/25 testing and cutover complete • By 1/1/25 validated access and useability across the end-to-end pharmacy experience • Prior to 1/1/25 all workflows and DLPs updated for customer care • By end of Q1, stabilization of new pharmacy experience	• Pharmacy Services – call center support • Modular Solutions Program – Command Center, Incident Command, Service Provider Support Management • Transformation – transition functions to Pharmacy Services starting Feb	• 100% complete for all testing and cutover activities • 100% access validated for all members with pharmacy benefits • 100% readiness for customer care (DLPs, workflows, etc.) • $\geq 90\%$ 'normalcy' realized across customer care, stabilizing cutover by end of Q1
Simple Automated Workflow (SAW)	• Validate all Installation & Billing (I&B) inventory types in SAW and prioritize for transition into Pega Inventory Management/Workflow tool. • Complete at least 1 Proof of Concept for Inventory Process Automation	• $\geq 20\%$ of Installation & Billing (I&B) SAW inventory is transitioned into Pega Inventory Management Solution	• Strategic priority and allocated funding remains and unchanged • Installation & Billing (I&B) operations, Platform Strategy Operations Team (PSOT), IT and Transformation	• Successful POC for inventory process automation • Achieve $\geq 20\%$ of Installation & Billing (I&B) SAW inventory is transitioned into Pega Inventory Management Solution
BenCap Phase II	• Core Portfolio and IFP Grandfather solutions complete and ready for August 2025 Go Live.	• Complete Core and IFP Grandfather Development in Nexus and Downstream Applications	• Strategic priority and required funding • Operations, IT, Digital, and Transformation	• Acceptance Criteria demonstrated and confirmed completion for Nexus and all Downstream Applications for Core Portfolio and IFP Grandfather product scenarios

2025 Q1 Readiness

Promise Print	Outcomes	Deliverables/Milestones	Dependencies	Metrics for Success
	- Finalize vendor contracting - Finalize data requirements for output	Successfully start transition for vendor output	- GBS - Comms Governance	100% of amendment requirements for new Services Schedule complete 100% of requirements (functional and non-functional) complete
Real Time Auth	Demonstrate the prior auth flow in non-prod environment as proof of concept with Availity and the intake channel for 3 BSC policies (varicose veins, sleep apnea, Botox)	- Approved POV in non-production environment - Implement Availity in non-prod - Complete MHK (MedHOK) upgrade to version 16 - Deploy MHK upgrade version 17 to Config and UAT - Go Live for MCE (previously PacMan) - Provide access & training to all MCE users - Establish an issue resolution channel	- Environment availability - Establishing connectives with vendor - MHK for delivering on features needed on time	- Leadership approval on POV & POC - Successful launch of MCE in Nexus with appropriate access and training to all users - SMP ticket submission process for MCE - Successful upgrade of MHK version 16 to prepare for version 17 upgrade - Successful data flow from Availity into MuleSoft in non-production environment for the 3 BSC policies
CaIPERS Implementation	Fully transition from implementation to ongoing operations	lessons learned for implementation for jumbo accounts	n/a	n/a
GLP-1	- Reduction in GLP-1 spend - Increased decision support for all members - Alternative pathways for members no longer eligible for GLP-1s	Complete white paper on GLP-1 considerations in Q1 2025	Stakeholder (Pharmacy, Product, Clinical Strategy) alignment	30% decrease in GLP-1 spend in 2025 - Decision support tools active by Q3 2025 - GLP-1 center of excellence model in place for members by Q4 2025



Payment Integrity

Tim Evans, Denise Ciufo

Payment Integrity

2024 Achievements

>\$425M

Cost of Healthcare savings

+\$46M from prior year

~\$5M

2024 savings from new programs

Expect \$7M+ in annualized CoHC savings from combination of credit balance, expanded coordination of benefits, and data mining (up from \$5M in 2024)

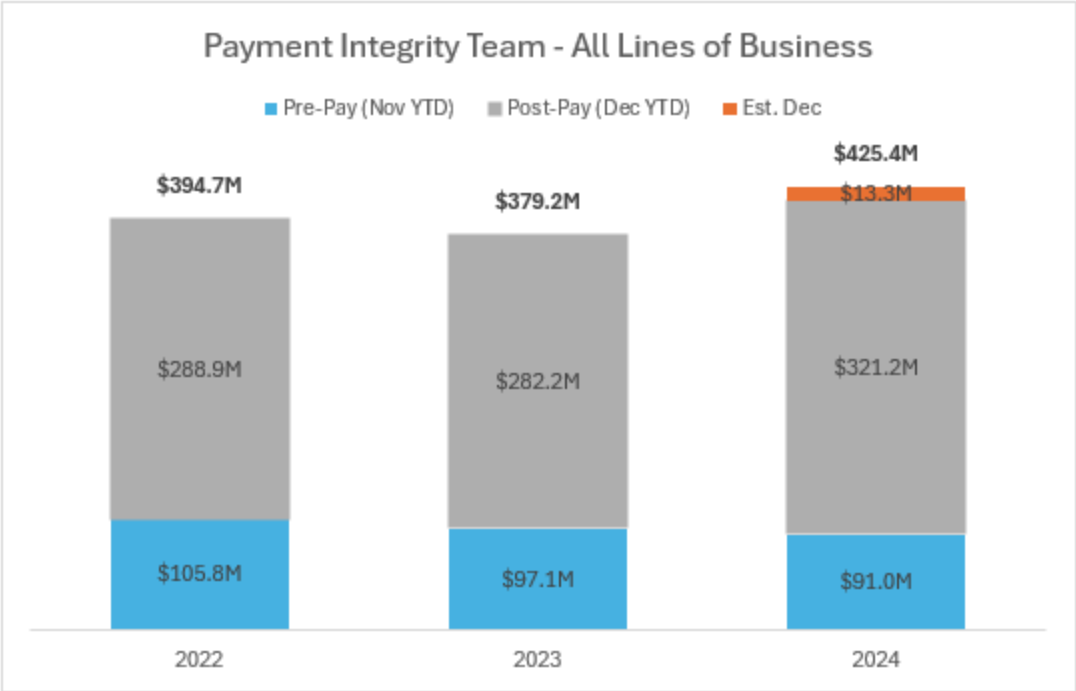
>\$5.4M

Admin cost avoidance

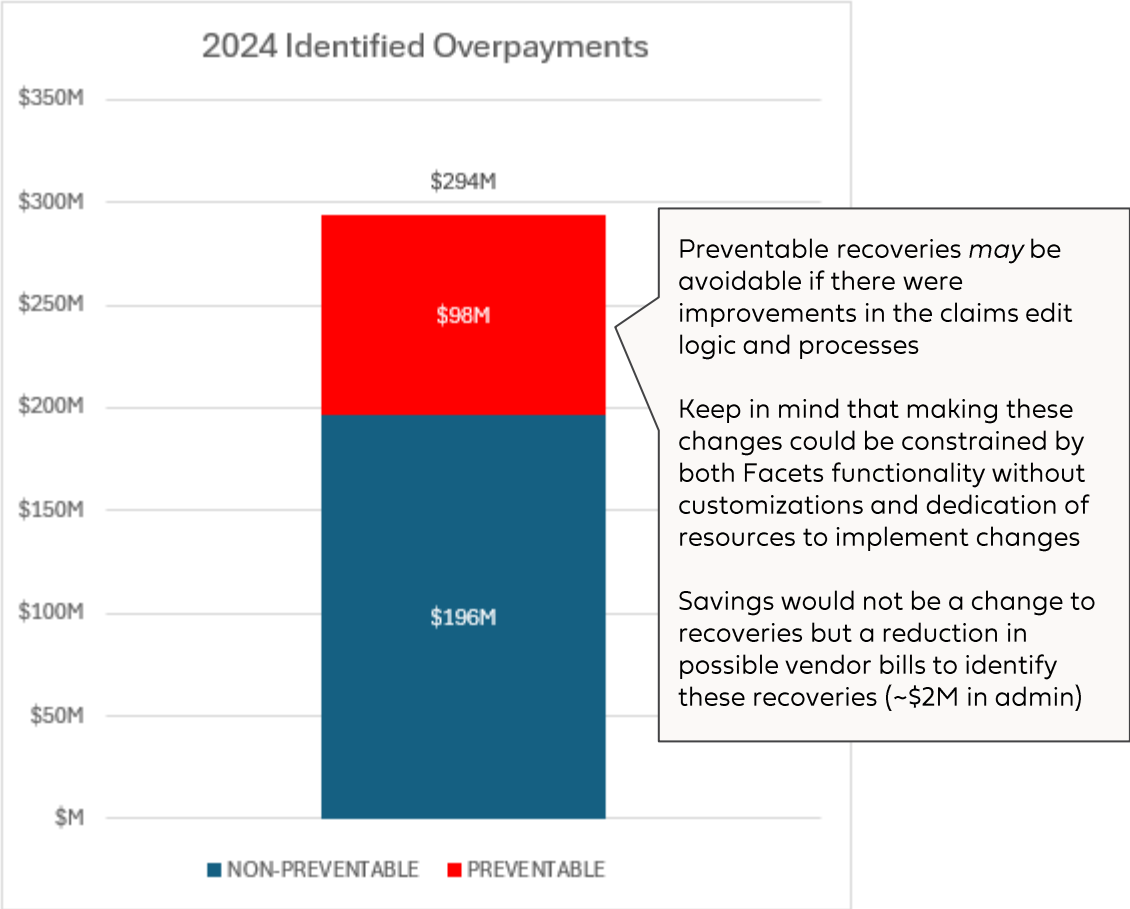
By identifying \$54M in recoveries using internal solutions, we avoided paying ~\$5.4M to vendors to identify savings (out of a total vendor admin spend of \$32M)

Claims Payment Integrity Performance

Payment Integrity teams have significant contributions to cost of healthcare savings/avoidance and are performing at a high level



Type	2022	2023	2024
Pre-Pay (Nov YTD)	\$105.8M	\$97.1M	\$91.0M
Post-Pay (Dec YTD)	\$288.9M	\$282.2M	\$321.2M
Est. Dec			\$13.3M
Total	\$394.7M	\$379.2M	\$425.4M





Encounters Performance

Tim Evans, Denise Ciufo

Encounters

2024 Achievements

>99%

Medi-Cal, Medicare & Accountable Care Act Submission Gap Closure

We received and submitted >99% of all capitated records providers intended to send us

>\$15M

Reconciliation risk adjustment value

Improved share of risk adjustment from encounter reconciliation and submissions over last two cycles

>33

Metric controls implemented

Self-service key performance indicator dashboards have been created to monitor intake to submission

1

Encounters Performance team

End-to-end encounters team re-organized under one leader

Encounters Performance

Year-to-Date Performance

Encounters Receipt Volume

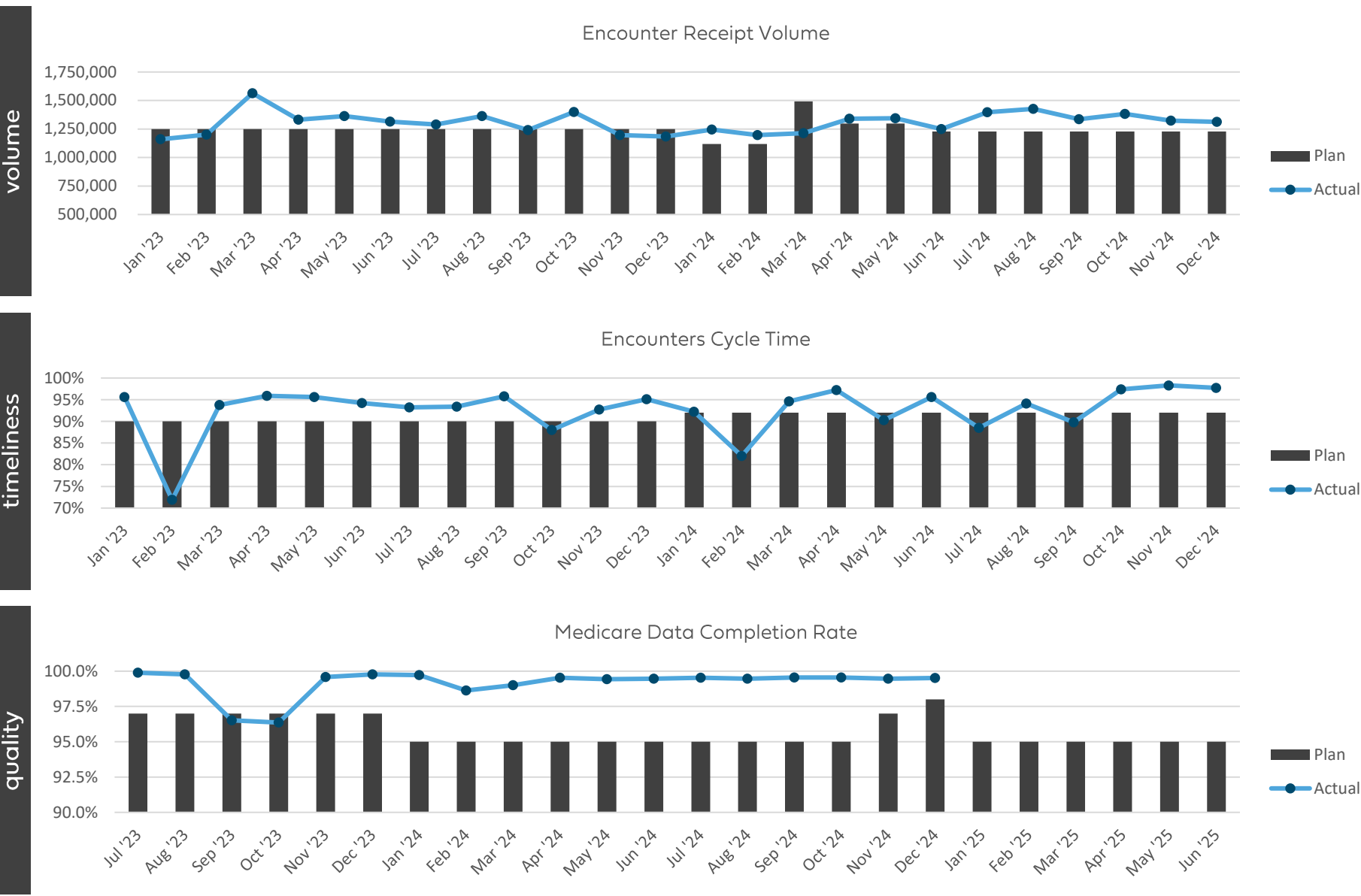
'23 Actual	'24 Actual	'24 Plan	'25 Plan
15.6M	15.8M	14.9M	n/a

Encounters Cycle Time

'23 Actual	'24 Actual	'24 Plan	'25 Plan
92.5%	93.2%	92.0%	n/a

Medicare Data Completion Rate

'23 Actual	'24 Actual	'24 Plan	'25 Plan
99.1%	99.5%	95.0%	95.0%



Encounters

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track by
<u>Receipt Volume</u> Teladoc has not submitted encounter records since Nov 1st, due to a change in their submission process, that they did not communicate to BSC/ PHP. This is because Teladoc changed their clearing house, as their prior vendor gave them 30 days notice that they were stopping submission services.	A specific plan is still under discussion	1/31/25	Denise Ciufo EDI Provider Relations	1/31/25



Claims

Tim Evans, Denise Ciufo

Claims

2024 Achievements

Operational Performance

+26% Increased Claims Received

55M claims vs plan of 43M (driven by higher membership and utilization)

-10% Reduction in Manual Adjudications

Manually adjudicated claims reduced by 10% as a result of improvements in auto adjudication from 87.6% in the prior year to 88.9%

Financial and Audit Performance

-11% Reduced Cost per Claim

Reduced cost per claim to \$0.97 vs plan of \$1.09

100% Medi-Cal DMHC Audit rated Excellent

No findings noted!

Critical Initiatives

~400K members CalPERS Implementation

Successfully implemented the CalPERS PPO business timely for 397,796 members

~1M claims COVID Remediation for SB510 & Antibody Testing Policy Updates

Successfully remediated claims impacted by Senate Bill 510 (COVID HMO)

Continuous Improvement and Manager Quality

8 Automation Improvements

Achieved via robotics and analytics resulting in estimated annual savings of \$1.7M

87% Manager Quality Index

Increased MQI performance by 2 points compared to 2023

Claims

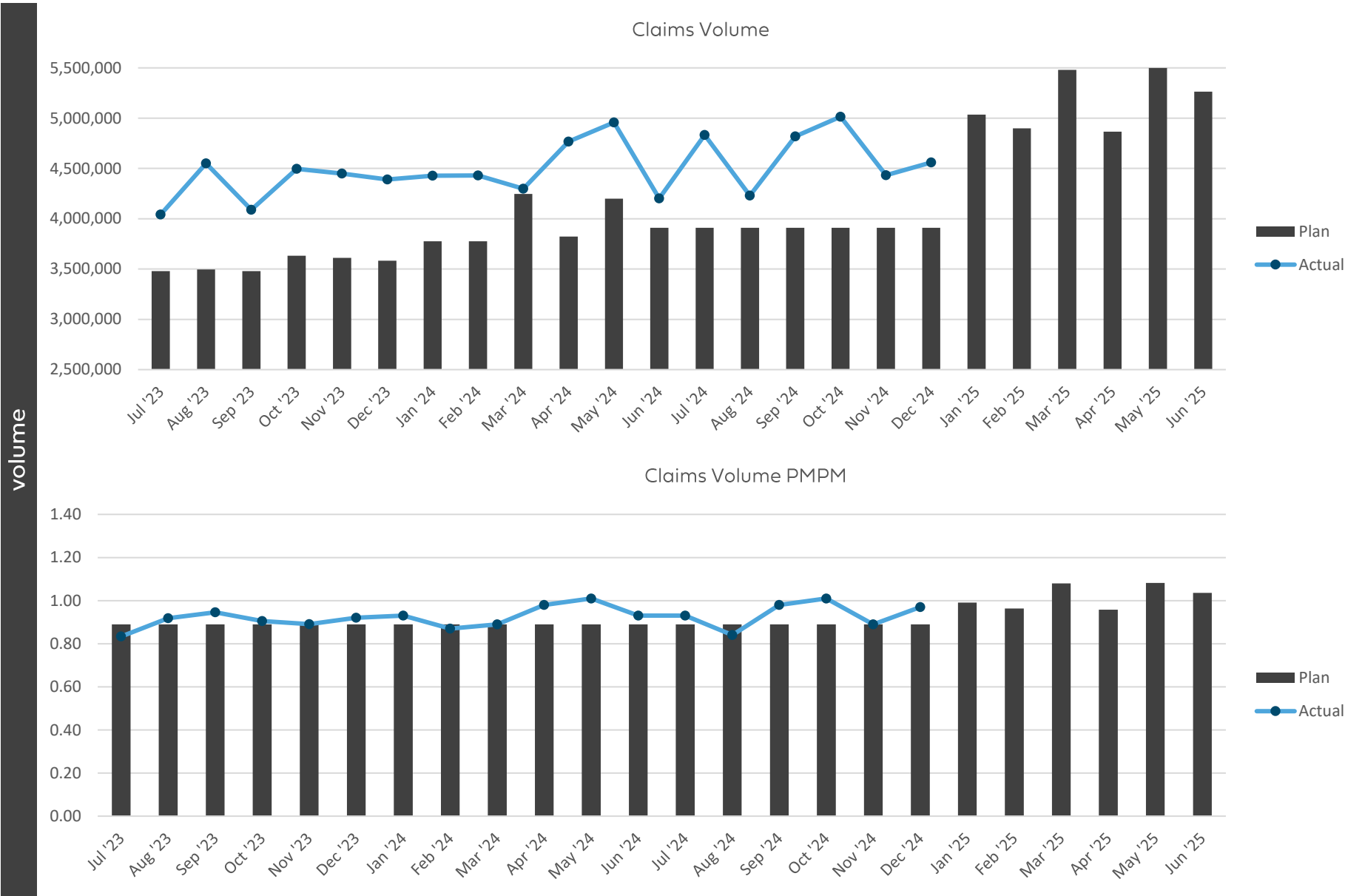
Year-to-Date Performance

Claims Volume

'23 Actual	'24 Actual	'24 Plan	'25 Plan
52.3M	55.0M	47.2M	61.9M

Claims Volume PMPM

'23 Actual	'24 Actual	'24 Plan	'25 Plan
0.90	0.97	0.89	0.93



Claims

Year-to-Date Performance

% of Workable Claims Aged Over 30 Days

'23 Actual	'24 Actual	'24 Plan	'25 Plan
3.2%	3.4%	3.0%	3.0%

National Programs Scorecard Performance

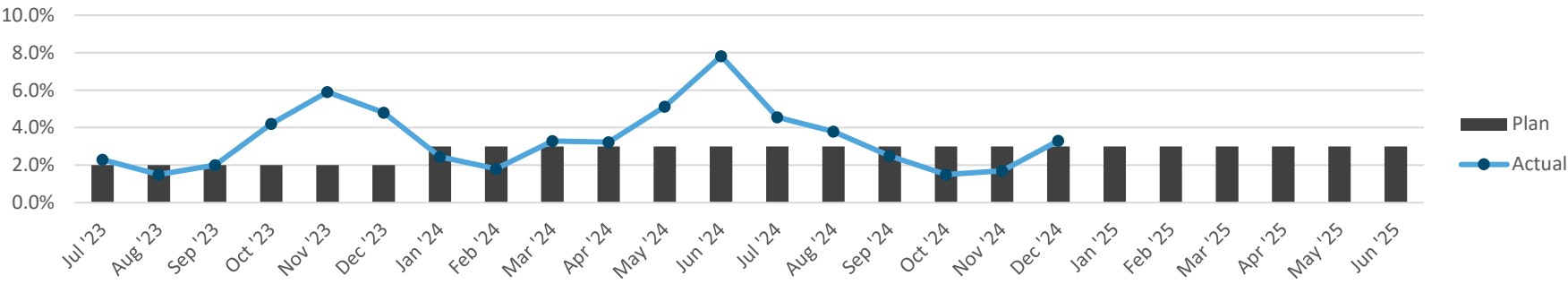
'23 Actual	'24 Actual	'24 Plan	'25 Plan
88.5	78.1	80.0	80.0

Financial Frequency Accuracy (MTM Scope)

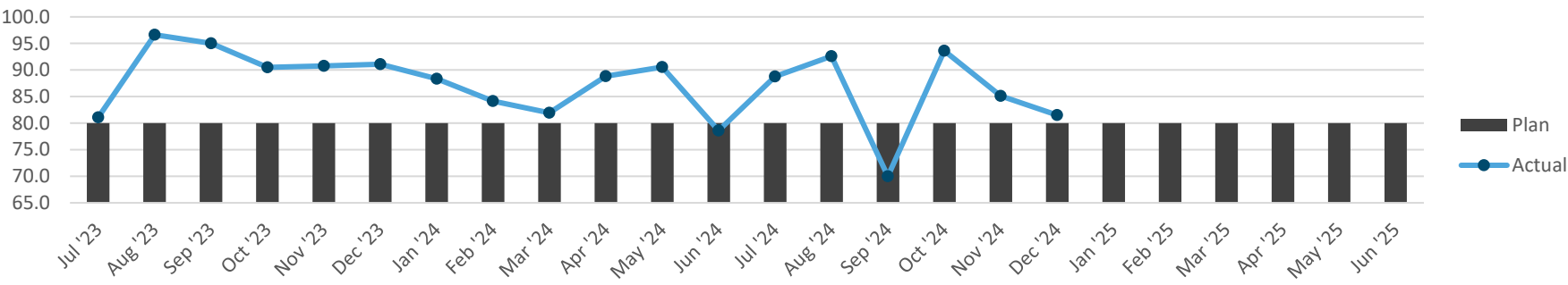
'23 Actual	'24 Actual	'24 Plan	'25 Plan
99.5%	97.0%	98.0%	98.0%

timeliness

% of Workable Claims Aged Over 30 Days

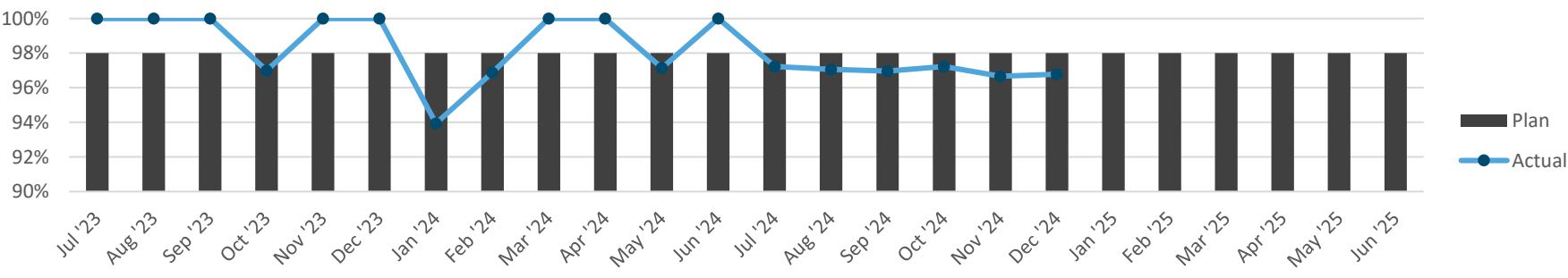


National Programs Scorecard Performance



quality

Financial Frequency Accuracy (MTM Scope)



Claims

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track by
% of Workable Claims Aged Over 30 Days was 3.4% versus plan of 3.0%.	Aging was impacted by COVID holds related to SB 510 and transition to a new mailroom vendor.	Completed	Denise Ciufu	We are now under 3% in January 2025.
National Programs Scorecard achieved 82.2 points versus plan of 80.0. September’s performance decline related to the Fee Schedule Broadcast Incident and EDI late load issue.	Completed remediation and focused on processing non-aged transactions. Enhanced audit protocols and successfully ended the second half at 99.53% for Host Financial Dollar Accuracy (FDA), achieving 10 out of 10 points.	Completed	Denise Ciufu	Performance was back on track on Oct 2024 and met full year plan.



Provider Operations

Tim Evans, Denise Ciufo

Provider Operations

2024 Achievements

Provider Enrollment & Demographics

44%

Reduced Suppressed Providers in Find-a-Doctor

Suppressed providers reduced from 15% of all providers in prior year to 8.4% of providers

92%

Reduced Time to Update Provider in Find-a-Doctor

Provider data updated in Find-a-Doctor in 2.5 days, down from 30 days historically

82%

Provider Adoption of Portal for Demographic Updates

Up from 55% in 2023

87%

Provider Updates Processed Automatically and Published in 48 Hours or Less

Up from 66% in 2023

Provider Contract Configuration

33%

Configuration Automation: Professional contracts end-to-end automatic configuration

Up from 7% in 2023 and ahead of 30% 2024 goal.

20 Days

Cycle time: Days to configure, test and deploy contracts to Production

Down from 2023 average of approximately 30 days

Provider Credentialing

100%

Credentialing Compliance Through Redesign of Operating Model

Consolidated from separate BSC and PHP credentialing processes to single process improving efficiency & experience

Provider Operations | Contract Configuration

Year-to-Date Performance

Contract Receipt Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
1,884	2,281	3,276	1,826

Contract Configuration Cycle Time			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
75.5%	81.1%	75.0%	75.0%

Contract Configuration Quality			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
99.6%	99.8%	98.0%	98.0%

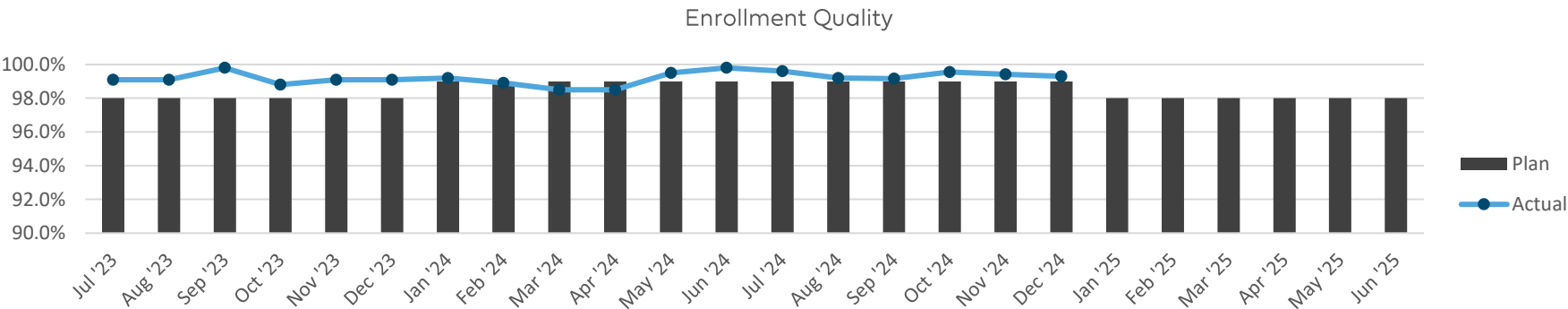
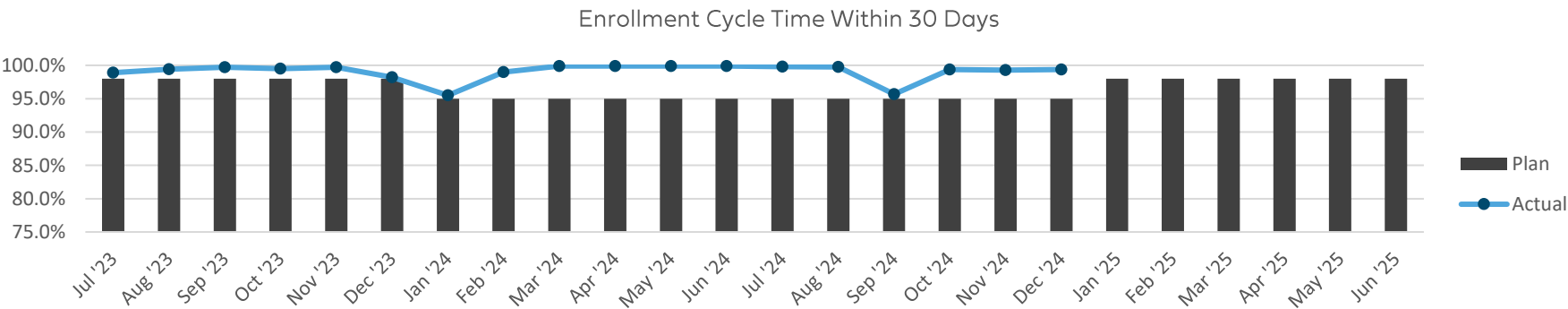
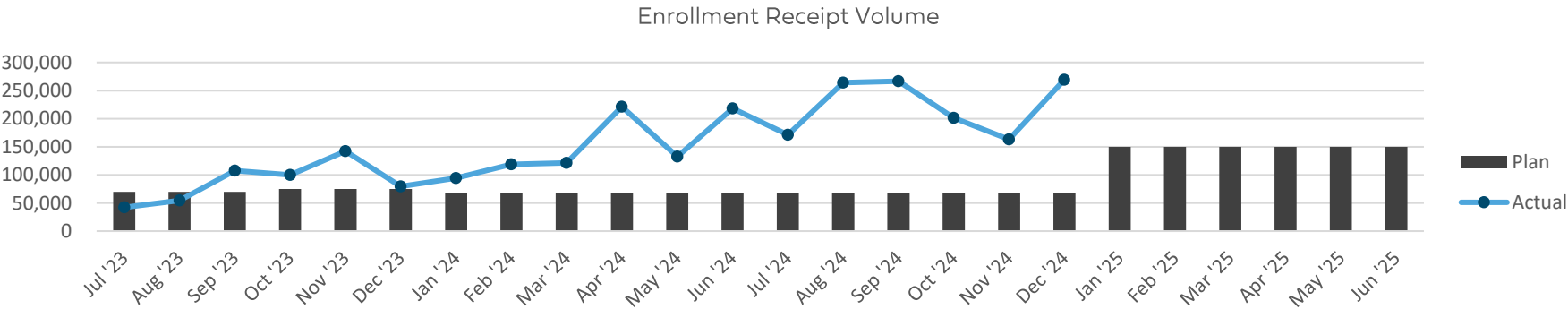


Provider Operations | Demographic Configuration *(Enrollment)*

Year-to-Date Performance

Enrollment Receipt Volume

'23 Actual	'24 Actual	'24 Plan	'25 Plan
985k	2,242k	810k	1,800k



Provider Operations

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track by
Contract Configuration Cycle Time (% of contracts configured within 30 days of receipt) was 54% in the month of December versus plan of 75%. This was due to delays in implementing the Targeted Rate Increase Mandate for Medi-Cal due to delays in contract negotiations and development of the fee schedules.	a) Contracts were loaded on a retroactive basis. b) Automation for Professional Medical and Behavioral Health contracts that was deployed in October will help mitigate future volume and create capacity c) Continued partnership with Network Management to drive reduction in Retro contract submission	b) 1/31/25	Craig Lucero	1/31/2025



Product Operations

Tim Evans, Denise Ciufo

Product Operations

2024 Achievements

Volume & Quality

22%

Increase in Products

5,737 product builds vs 4,719 prior year

90%

Filings Closed in Calendar Year

Performance in line with prior year

95%

Products Without Incidents Within 90 Days of Implementation

Lowest rate of incidents over last 12 months

100%

Recoding of Commercial Preventive Benefits

Recoded over 2,000 preventative benefits to align evidence of coverage (EOC) to Facets and claims processing to reduce risk of claims processing errors improving member experience

Strategy & Engagement

\$10M

Reduced Information Security Risk

All IFP and Small Business Products Now Live in Nexus

100%

Project Milestones for Product Delivered on Time

E.g. CalPERS, Behavior Health Insourcing, RX Reimagined

94%

Employee Net Promoter Score

Likelihood to Recommend BSC on Employee Engagement Survey

100%

Corporate Citizenship

1,836 Volunteer Hours in 2024 Supporting 63 Different Causes!

Product Operations

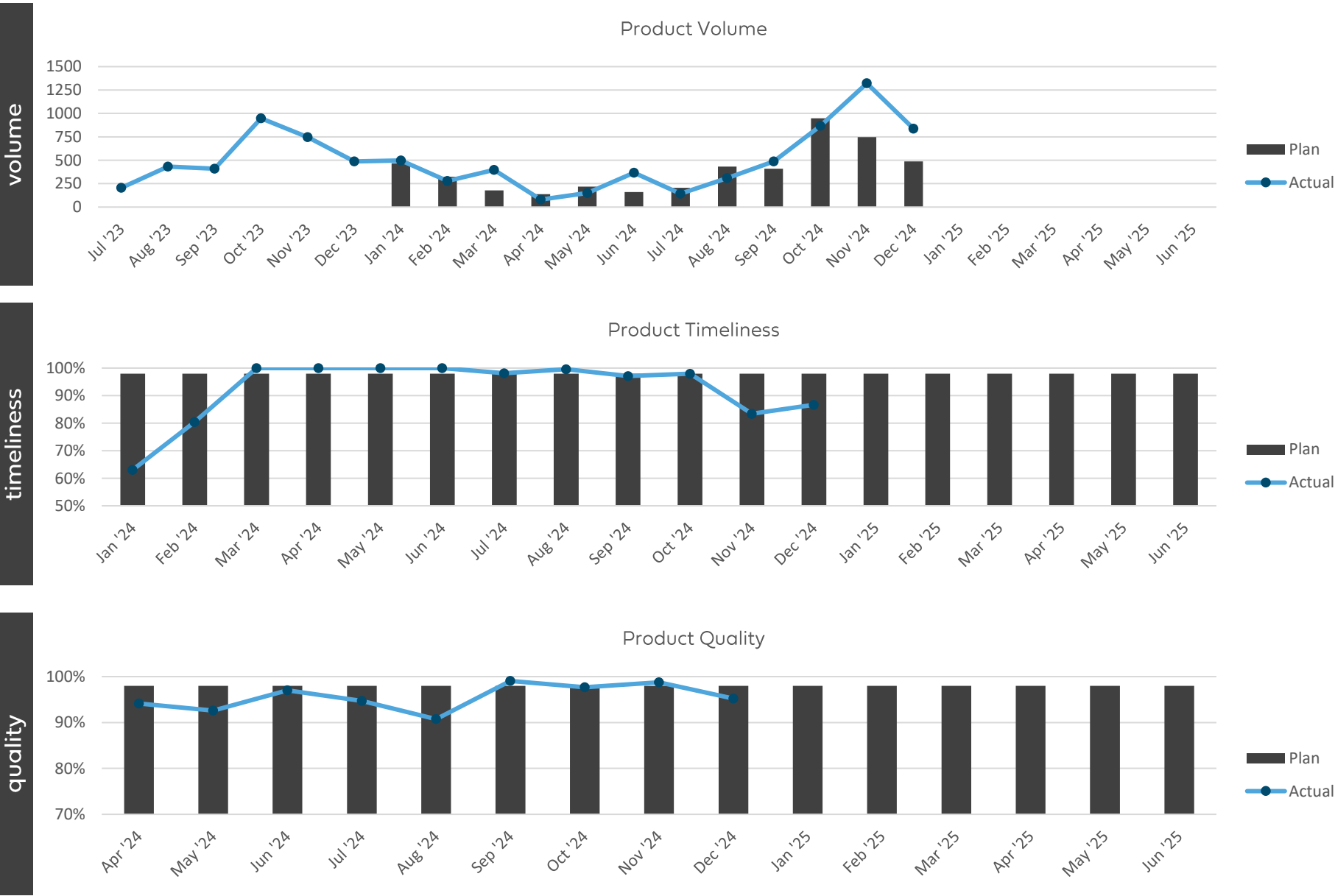
Year-to-Date Performance

Product Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
4,719	5,737	4,719	TBD

Product Timeliness			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
n/a	91.8%	98.0%	98.0%

Product Quality*			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
n/a	96.4%	98.0%	98.0%

*3 month lag time on incidents



Product Operations

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track by
Product Timeliness for 2024 was 91.8% versus plan of 98.0%. Off-track due to higher Product volume, over 22% over forecast and much higher than expected 1/1/25 volumes. This was in addition to redelivering thousands of Products to support Rx Reimagined and Behavioral Health Insourcing projects.	Work with Sales on tighter forecasting methodology, timeliness reporting, and feedback loop. Potential need for bubble staff if any strategic projects greatly impact product volumes in 2025.	3/31/25	Tim Evans	3/31/25
Product Quality for 2024 was 96.4% versus plan of 98%. One quality finding/incident can impact multiple products or LOBs so quality percentage can be reduced greatly even with only one finding.	Continue to expand testing scope and test scenarios.	3/31/25	Tim Evans	3/31/25



Third Party Administrator Performance

Tim Evans, Denise Ciufo

Shared Advantage: HealthNow Third-Party Administrator

Elevated Claims Inventory

Inventory pending with HealthNow remains elevated leading to negative impacts on the National Programs Scorecard and Local Operations Scorecard (LOS) and driving provider escalations and abrasion

Action Plans

Reduce Inventory with target to process claims within 15-days of receipt

- Client Operations has asked HealthNow Leadership to commit to:
 - No aged claims over 90 days by 2/15/25
 - Burn down of all inventory over 30 days by 3/1/25

Client Operations team works closely with all TPAs on their inventory management. This team is accountable for escalating inventory issues to senior leadership and working thru file issues and remediation with our TPA and sales partners

- Through this partnership, overall claims inventory has reduced by 46% and claims aged over 30 days have decreased by 47% since 9/16

Amend contract to include Performance Guarantees

- Performance Guarantees have been drafted and are with legal for HealthNow delivery by 1/24. They include % of SA fees at risk and flat penalties for system issues. For example:
 - **Aged Claims Inventory Improvement:** This metric will only be measured when the Aged Claim Inventory grows to above 1000 claims . HNAS shall show a 15% improvement every month with respect to the aged claims in excess of thirty-one calendar days.
 - **Claims Timeliness:** HNAS will agree to return 85% of claims within 10 business days. Claims are considered returned when they complete (without errors) and are funded.

Continuous monitoring and reporting

- Thanks to the Enterprise Analytics team for the support in launching the Third-Party Administrator (TPA) Shared Advantage dashboard.
- This new dashboard provides transparency for General Managers, Leadership and Sales to proactively monitor and collaborate with our Third-Party Administrators

HEALTHNOW TPA INVENTORY – Data & Analytics Tableau Dashboard

Total Claims
45,209

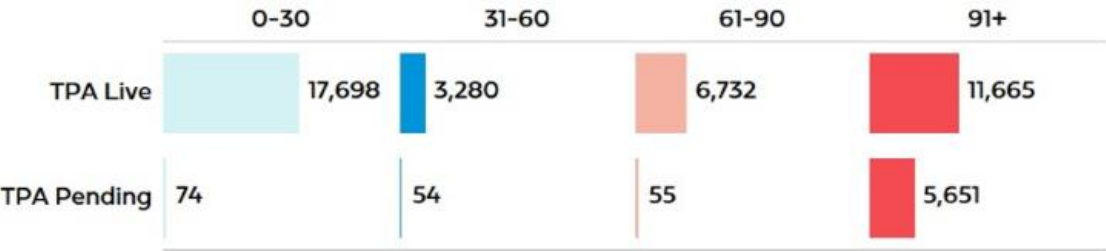
Total Billed
\$166.4M

Total Allowable
\$57.6M

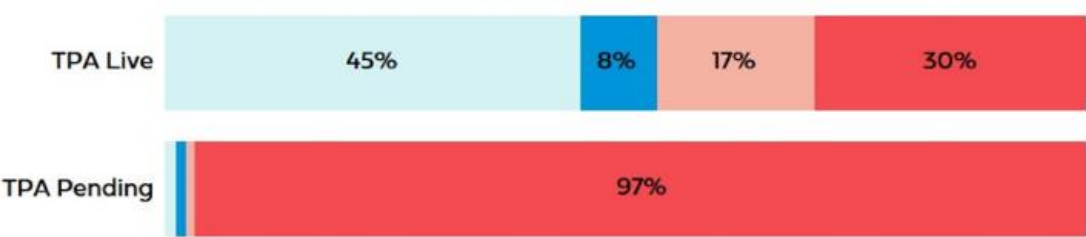
Data Updated:
1/22/2025 4:04:41 AM

Count of Claims Detail

If you click a category, the rest of the dashboard will be filtered!



% of Total Count of Claims Detail



	0-30	31-60	61-90	91+
CLM_TOT_CHRG_AMT	\$51M	\$17M	\$17M	\$81M
TOT_ALLOWED	\$18M	\$7M	\$5M	\$28M
TOTAL_ALLOWED_OVER..	14	9	2	37

	0-30	31-60	61-90	91+
% of Total CLM_TOT_CHRG_AMT al..	31%	10%	10%	49%
% of Total TOT_ALLOWED along Ta..	31%	11%	9%	49%
% of Total TOTAL_ALLOWED_OVER..	23%	15%	3%	60%



Member Contact Center

Vivian Phillips Husband, Betty Blakeman

Contact Center (Customer Interaction Management)

2024 Achievements

Service Level: achieved above target of 80% in 30 seconds

83% (member)	2024 volumes 17% (650K) above plan
89% (broker)	2024 volumes 4% (11K) under plan
82% (provider)	2024 volumes were right on track with plan

Satisfaction (Issue Resolution, Agent Satisfaction)
Post call survey scores met or exceeded plan for 2024

Issue Resolution (calls)		Agent Satisfaction (calls)	
91% (member)	Plan = 91%	89% (member)	Plan = 89%
83% (broker)	Plan = 80%	96% (broker)	Plan = 90%
80% (provider)	Plan = 80%	92% (provider)	Plan = 90%

MTM Inquiry Timeliness (timeliness; inquiries processed within 10 days)
Improved from partial points in 1H 2024 to full points in 2H2024 for timeliness

Budget (admin expense, including approved variances)
Met all targets, including \$16M in committed savings

5 Large scale company initiatives enabled via operational readiness and support for frontline service teams
(in addition to many smaller projects/initiatives; included Modular Solution, CalPERS new business, Nexus, Member Health Record, ASO Behavioral Health Insourcing)

Consolidated customer interaction management (member, broker, employer, provider) under common leadership
(improved experience, synergy, and efficiency)

Launched Dedicated Care Navigator team in Medicare for improved access to care support (7700 members supported with access issues, 98% of appointments scheduled in <14 days)

Stood up site, staffing and process to take calls for Hawaii Medical Service Association, a Hawaii based Blue plan. Delivered 97.6% quality in 2024.

San Francisco Health Service System (SFHSS): completed 8K prospective member inbound inquiries, and 100+ continuity of care outreach calls

Member Contact Center

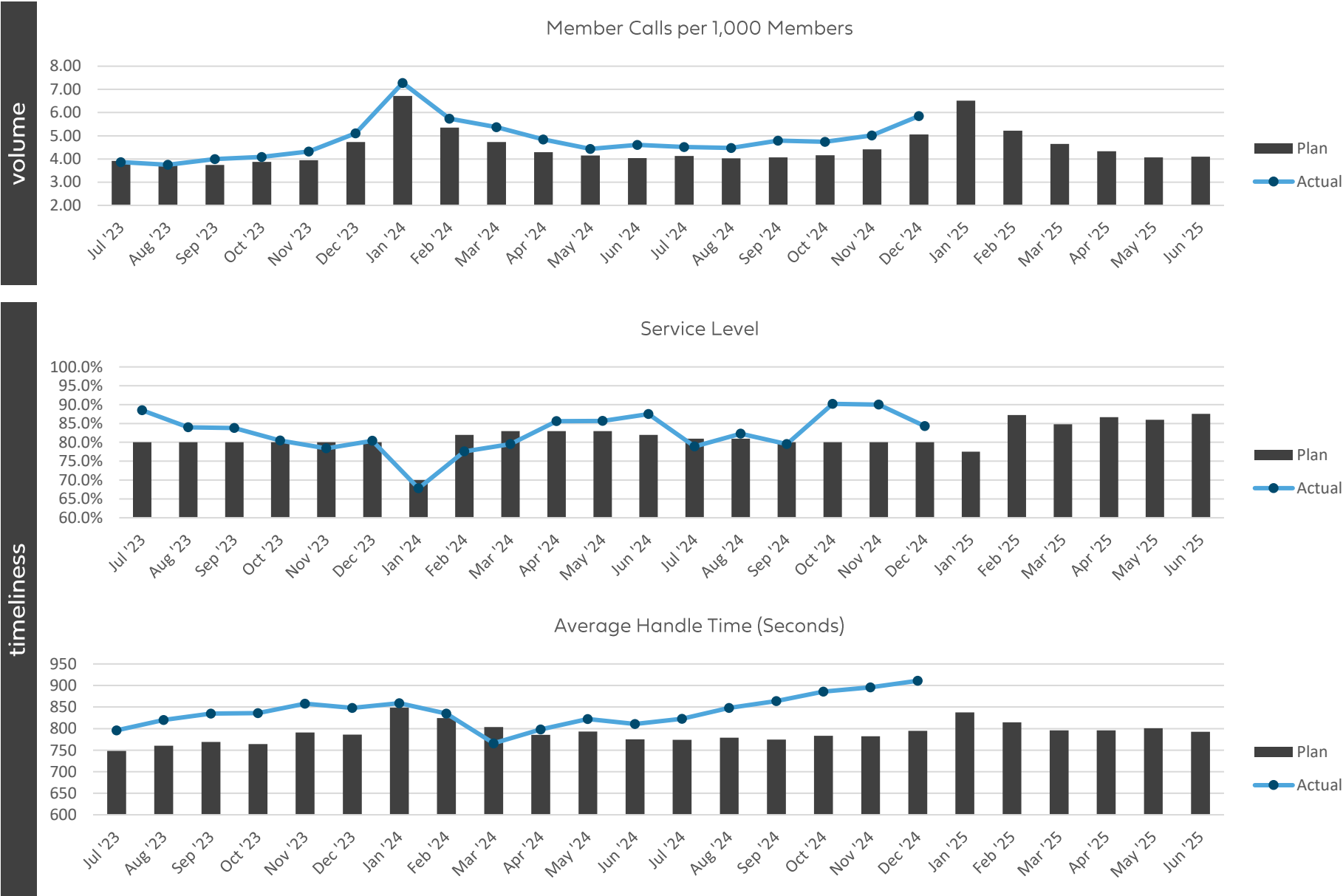
Year-to-Date Performance

Member Call Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
4.5M	4.6M	3.8M	4.2M

Calls per 1K Members			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
4.3	5.1	4.6	4.8

Service Level			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
87%	83%	80%	85%

Average Handle Time (seconds)			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
816	846	797	809



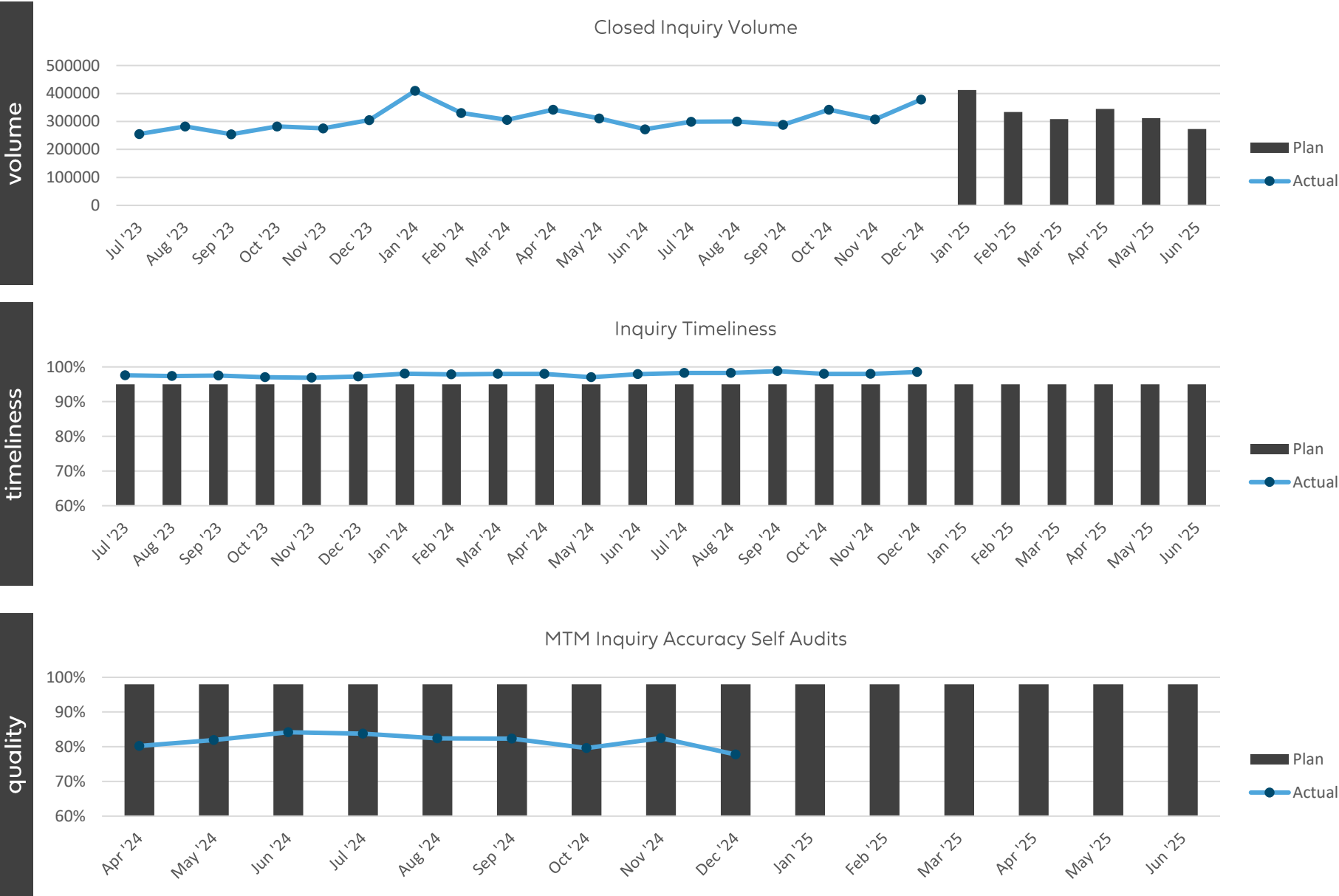
Member Contact Center

Year-to-Date Performance

Member Closed Inquiry Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
3.6M	3.9M	tbd	3.7M

Member Inquiry Timeliness			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
97%	98%	95%	95%

MTM: Inquiry Accuracy Self Audits			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
n/a	80%	98%	98%



Member Contact Center

Off Track Items				
Problem Statement	Action Plan	Due Date	Owner	Back on Track by
Calls per 1k members per month of 5.1 is 14% higher than plan of 4.6. Higher membership in IFP, which has a higher contact rate, is driving up the overall average. Also, issues at the beginning of the year such as mailroom, provider terminations, and potential provider terminations have contributed to higher volumes than planned.	IFP caller intent being developed in order to analyze results in January. Call intent is complete for Medicare.	1/31/25	Vivian Phillips Husband	n/a
Overall Service Level of 83% met plan of 80%, but IFP missed the goal at 75.8% due to increased contact rates which resulted in 347k more calls than planned for 2024. Dec PPO – 81.5% (75.2% for 2024) Dec Trio – 82.8% (77.5% for 2024)	Increased resources in Q4 2024 to meet historical call demand.	Completed	Vivian Phillips Husband	On track as of 2025 Open Enrollment
Average Handle Time of 846 seconds is higher than plan of 797, driven by IFP (922), Medicare (992), and Small Group (859). Increased AHT for IFP is related to new hires at vendor locations due to increased membership with a higher contact rate. Additionally, the focus on AHT was relaxed with the intent of improving accuracy.	Knowledge base team improved ease of locating articles. Created collapsable articles to simplify navigation. Testing updates with SMEs and leaders. (20 second improvement targeted).	3/31/25	Betty Blakeman	6/30/25

Member Contact Center

Off Track Items				
Problem Statement	Action Plan	Due Date	Owner	Back on Track by
MTM Inquiry Accuracy Self-Audits for 2024 were at 80% versus plan of 98%. This is for IFP and commercial LOBs. Root causes are benefit look up, promised actions, claims, and provider research.	a) Daily reporting on Promised Actions b) Internal Quality Scorecard improved to allow quick identification of root cause c) Knowledge base article redesigned for top root cause drivers d) Knowledge Base improvements: decisions tree and WalkMe developed for Nexus and ready for deployment after open enrollment / Pharmacy launch e) Creating a centralized quality team to increase consistent oversight and analysis f) Increased live call listening by supervisors to identify any agents that might need additional support	a) Completed b) 1/31/25 c) 1/31/25 d) 1/31/25 e) 1/31/25 f) 1/31/25	Vivian Phillips Husband	6/30/25



Broker / Employer Contact Center

Vivian Phillips Husband, Betty Blakeman

Broker and Employer Contact Center

Year-to-Date Performance

Broker Call Volume

'23 Actual	'24 Actual	'24 Plan	'25 Plan
406k	268k	279k	178k

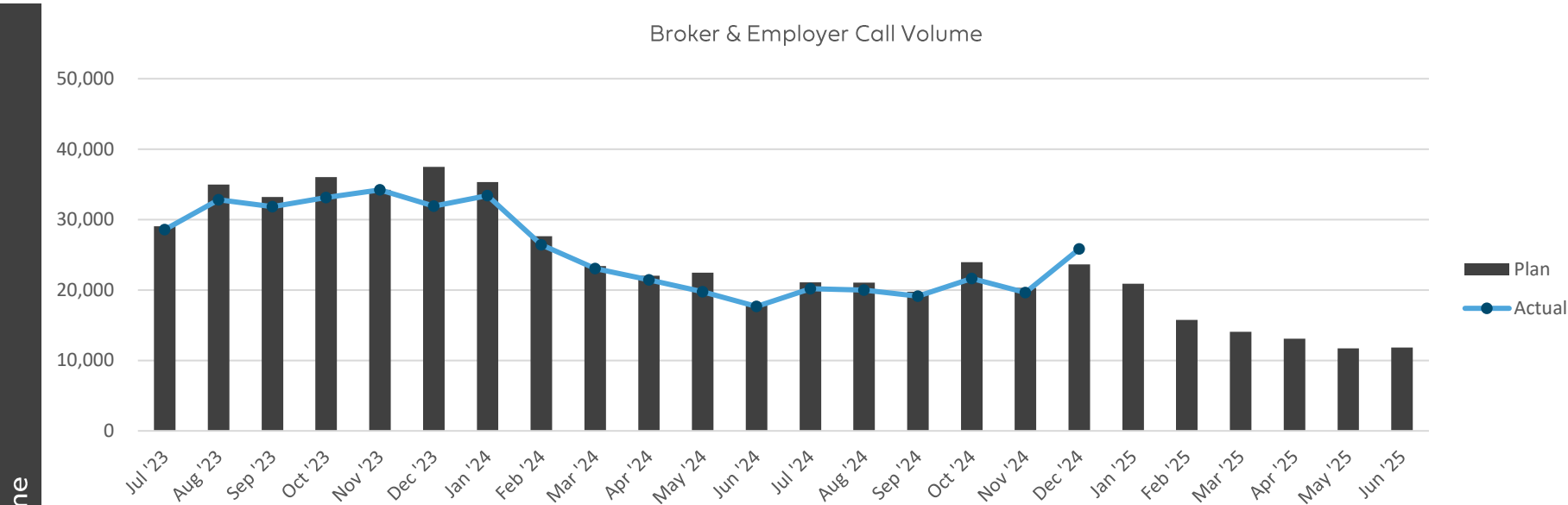
Broker Calls per 1,000 Members

'23 Actual	'24 Actual	'24 Plan	'25 Plan
1.15	0.85	0.80	0.63

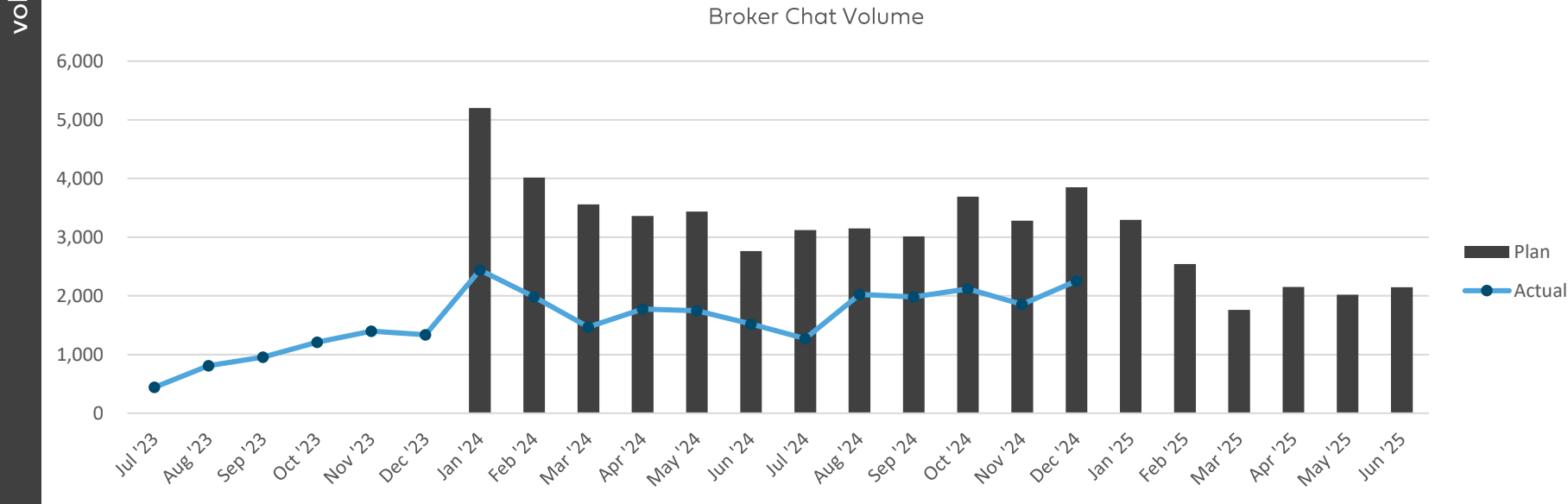
Broker Chat Volume

'23 Actual	'24 Actual	'24 Plan	'25 Plan
6,427	22,446	42,447	29,208

Broker & Employer Call Volume



Broker Chat Volume



Broker and Employer Contact Center

Year-to-Date Performance

Broker Average Handle Time (seconds)

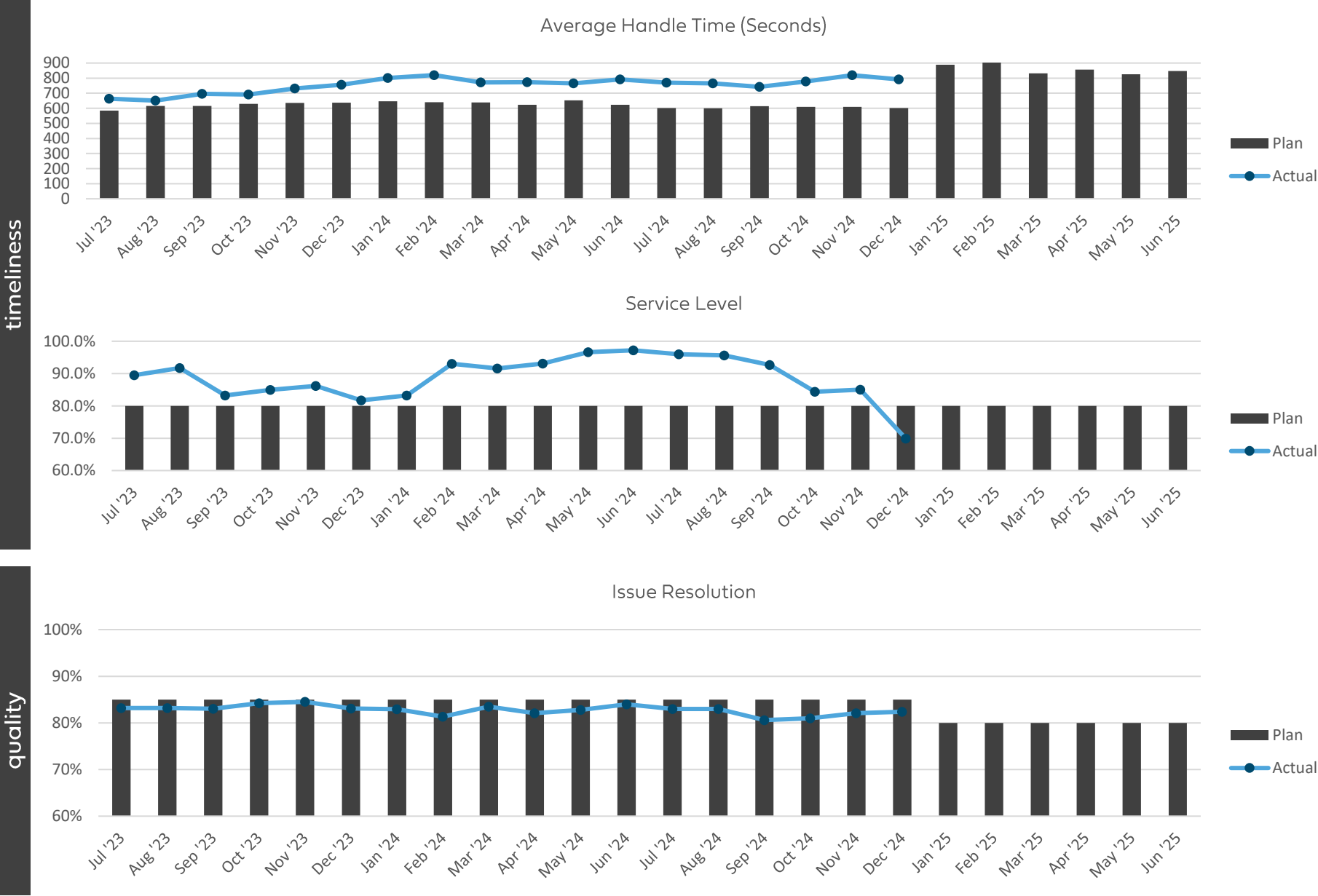
'23 Actual	'24 Actual	'24 Plan	'25 Plan
676	785	622	777

Broker Service Level

'23 Actual	'24 Actual	'24 Plan	'25 Plan
87.9%	89.1%	80.0%	80.0%

Broker Issue Resolution

'23 Actual	'24 Actual	'24 Plan	'25 Plan
83.1%	82.5%	85.0%	80.0%

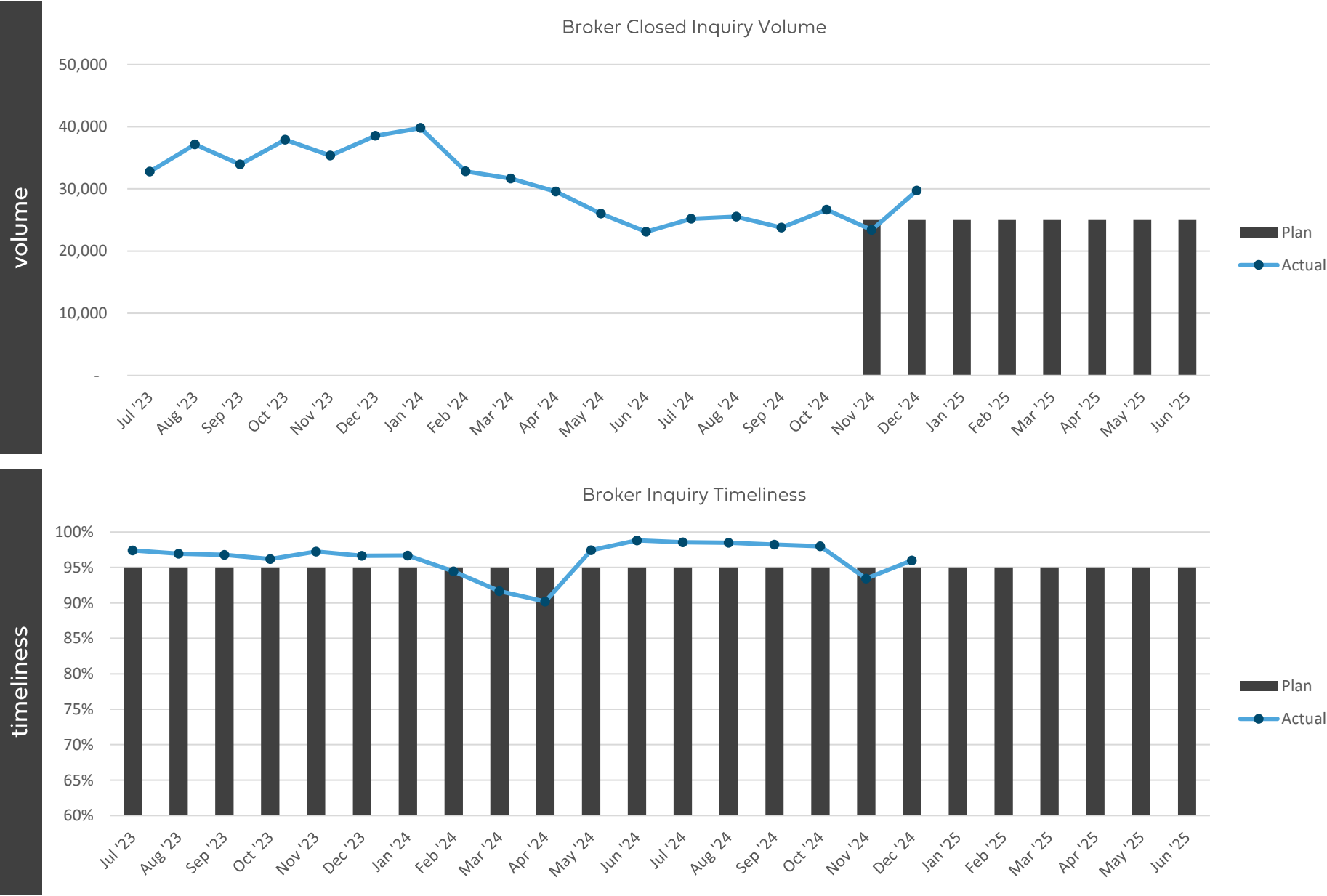


Broker and Employer Contact Center

Year-to-Date Performance

Broker Closed Inquiry Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
470K	337K	tbd	300K

Broker Inquiry Timeliness			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
96%	96%	95%	95%



Broker Services

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track by
Broker calls per 1k members of 0.85 is higher than plan of 0.80.	Broker caller intent being developed in order to analyze results in January.	1/31/25	Vivian Phillips Husband	n/a
Broker chat volume of 22.4k lagged behind plan of 42.4k. Trend for most recent three months: Oct 2.1k, Nov 1.9K and Dec 2.2k.	• Develop interval staffing model to reduce wait times reducing channel drops • Analyze top contacts in digital for process and agent opportunities to improve satisfaction to 90% from 88%	Completed 1/31/25	Vivian Phillips Husband	4/30/25
Average Handle Time of 785 seconds is higher than plan of 622. Trend for most recent three months: Oct 778, Nov 819, and Dec 791. Transition to the vendor has driven high AHT.	• Partner with vendor to continue to upskill staff and identify opportunities to improve AHT performance on contacts • Redesign tiered servicing approach to align common contact types and reduce transfers/holds	Completed 1/31/25	Vivian Phillips Husband	9/30/25
Overall Service Level of 89.1% met plan of 80%, but December results dipped to 69.9%.	Not a concern and was expected due restructuring work between vendor and Blue Badge.	Completed	Vivian Phillips Husband	Completed

Broker Services

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track by
Issue Resolution of 82.5% missed goal of 85.0%.	a) Daily reporting on Promised Actions b) Internal Quality Scorecard improved to allow quick identification of root cause c) Knowledge base article redesigned for top root cause drivers d) Knowledge Base improvements: decisions tree and WalkMe developed for Nexus and ready for deployment after open enrollment / Pharmacy launch e) Creating a centralized quality team to increase consistent oversight and analysis f) Increased live call listening by supervisors to identify any agents that might need additional support	a) Completed b) 1/31/25 c) 1/31/25 d) 1/31/25 e) 1/31/25 f) 1/31/25	Vivian Phillips Husband	6/30/25



Provider Contact Center

Vivian Phillips Husband, Betty Blakeman

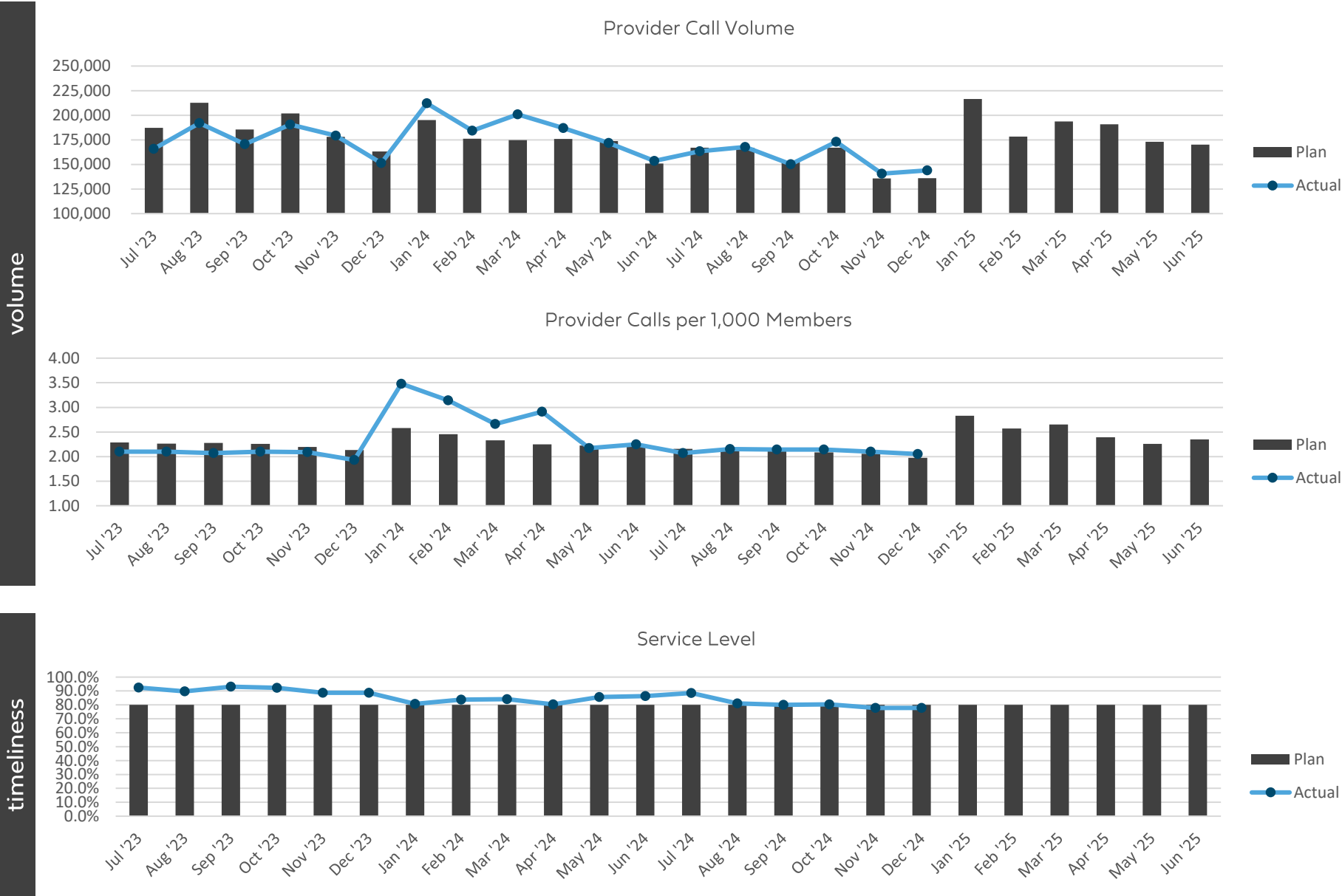
Provider Contact Center

Year-to-Date Performance

Provider Call Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
2.2M	2.0M	2.0M	2.2M

Calls per 1K members			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
2.15	2.29	2.23	2.42

Service Level			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
88%	82%	80%	80%



Provider Contact Center

Year-to-Date Performance

Provider Closed Inquiry Volume

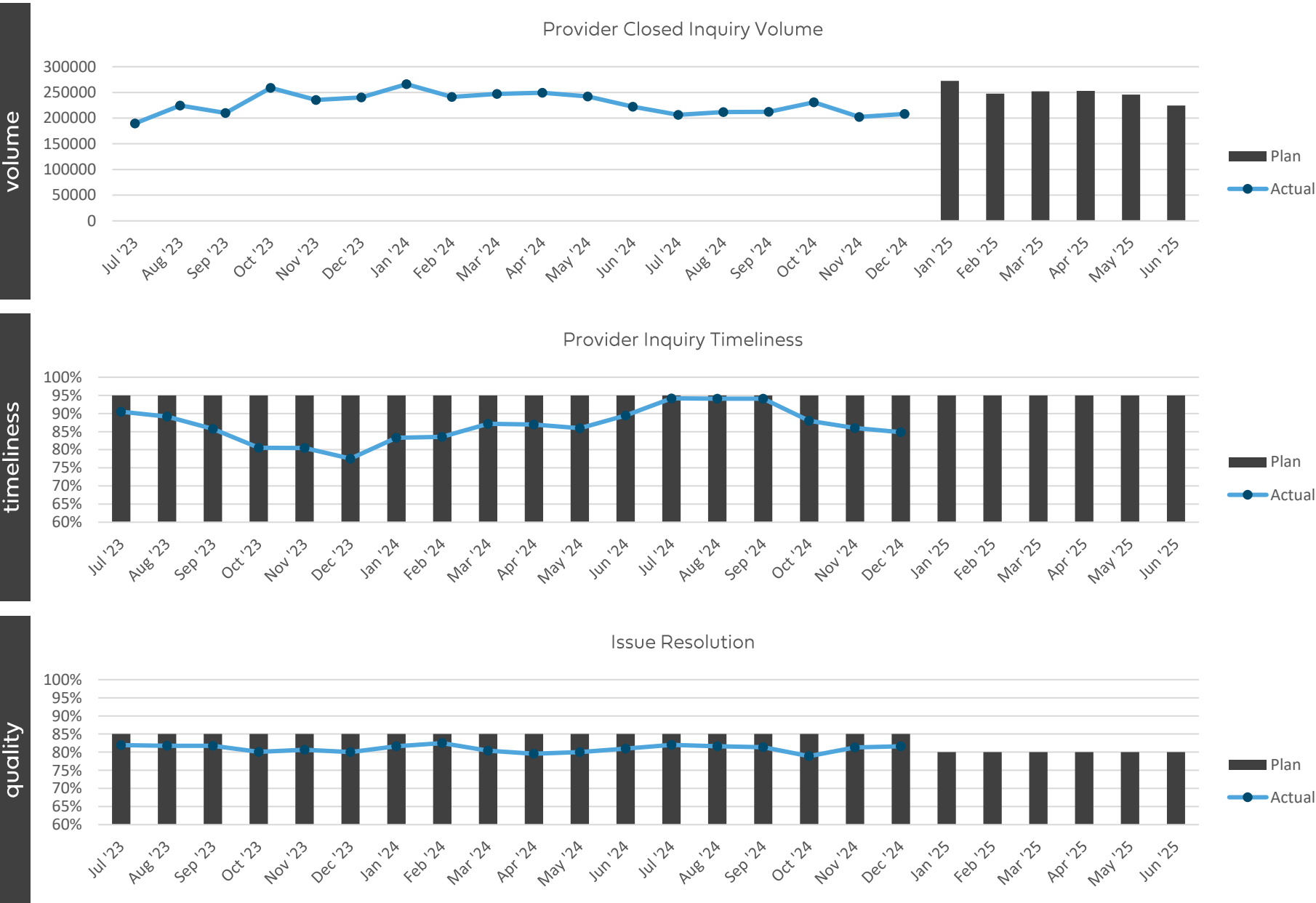
'23 Actual	'24 Actual	'24 Plan	'25 Plan
2.6M	2.7M	n/a	2.8M

Provider Inquiry Timeliness

'23 Actual	'24 Actual	'24 Plan	'25 Plan
87%	88%	95%	95%

Issue Resolution

'23 Actual	'24 Actual	'24 Plan	'25 Plan
80%	80%	85%	80%



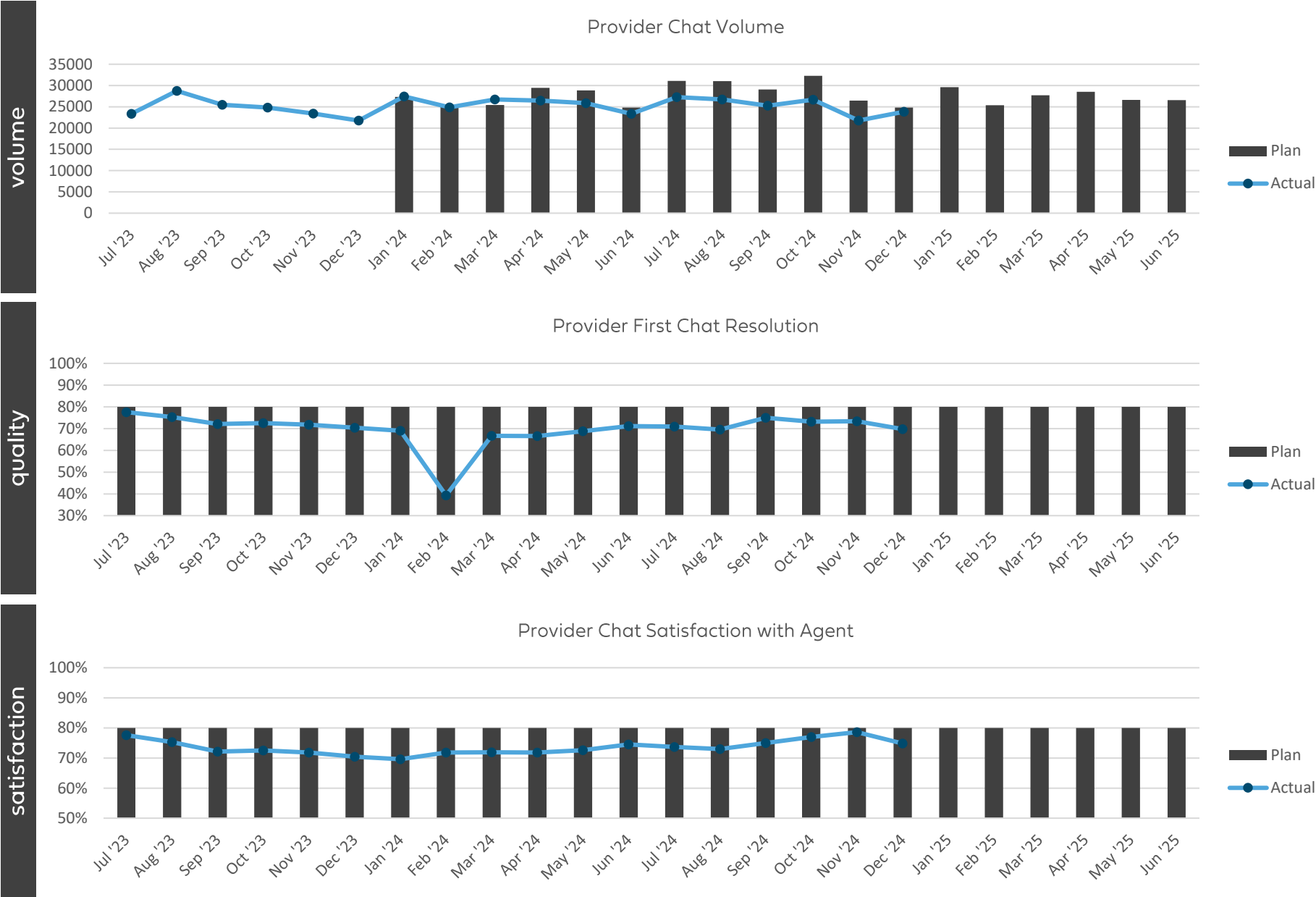
Provider Contact Center - Chat

Year-to-Date Performance

Provider Chat Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
292k	306k	336k	330k

Provider First Chat Resolution			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
70%	70%	80%	80%

Provider Chat Satisfaction with Agent			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
76%	73%	80%	80%



Provider Services

Off Track Items				
Problem Statement	Action Plan	Due Date	Owner	Back on Track by
Provider Inquiry Timeliness of 88% missed plan of 95% due to inventory levels building well above guard rails of 10k. Trend for most recent three months Oct 61%, Nov 28% and Dec 42% which reflects backlog burndown, including claims and CE provider inquiries).	Daily provider services inventory sync meetings.	Completed	Vivian Phillips Husband	On Track
Inquiry Resolution of 80% missed plan of 85%.	a) Daily reporting on Promised Actions b) Internal Quality Scorecard improved to allow quick identification of root cause c) Knowledge base article redesigned for top root cause drivers d) Knowledge Base improvements: decisions tree and WalkMe developed for Nexus and ready for deployment after open enrollment / Pharmacy launch e) Creating a centralized quality team to increase consistent oversight and analysis f) Increased live call listening by supervisors to identify any agents that might need additional support	a) Completed b) 1/31/25 c) 1/31/25 d) 1/31/25 e) 1/31/25 f) 1/31/25	Vivian Phillips Husband	6/30/25

Provider Services

Off Track Items				
Problem Statement	Action Plan	Due Date	Owner	Back on Track by
First Chat Resolution of 70% and Provider Chat Satisfaction of 73% missed plan of 80% due to gaps in staffing allocation. Accuracy trend for most recent three months: Oct 70%, Nov 73%, and Dec 70% primarily attributed to claims inquiries. Satisfaction trend for most recent three months: Oct 76%, Nov 79%, and Dec 75%.	• Create the staffing model for Chat and Correspondence and working with the vendor to align staff • Redesign chatbot reconnection process to improve channel identification and reduce transfers/default. • Evaluating contact data to alignment of routing paths to design requirements for post freeze implementation. • Implement Grammarly tools for spelling, grammatical and quick text functionality to improve communication.	2/28/25	Vivian Phillips Husband	Q3



Open Enrollment Readiness

Vivian Phillips Husband, Betty Blakeman

Open Enrollment Update

Volume data listed is through 1/21; Actuals are a combination of Actual and Forecasted (as of 1/21), forecasted data is based on original locked forecast, not plan.

	Area		Overall Operations Actual (forecasted)				Pharmacy Skills – subset of left Actual (forecasted)			Notes/Callouts
			Service Level	Volume	AHT		Service Level	Volume	AHT	
Priority Areas	Medicare		20% (79%)	65.6K (43.3K)	1207 (967)		24%	5K (1.6K)	1580 (847)	All call types are impacted due to substantially higher call volumes on all lines and early Jan issues (e.g. SFHSS Call the Car eligibility, Silver Sneakers portal, vision eligibility). To date moved 64 resources to Medicare to improve Medicare service levels, minimize abandons, and reduce member wait times. Seeing marginal improvement.
	Concierge		63% (85%)	94.9K (90K)	929 (790)		56%	2.1K (0.6K)	1046 (922)	Priority continues to be CalPERS and PGs. Adjustments made to load balance CalPERS Med Supp, Included Health Help Desk, and Trader Joes.
	IFP		78% (60%)	221K (216K)	967 (921)		12.3%	14.9K (5K)	1670 (632)	Added Pharmacy skill to an additional 34 IFP agents since the start of the year.
	Small Group		75% (92%)	26.2K (24.4K)	857 (891)		46%	3.7K (1.8K)	968 (632)	
	Designated		57% (87%)	21.5K (19.2K)	818 (745)		41%	0.5K (1K)	912 (922)	Issues with providers and benefits on the BSC website and 655 termination letters for BSC employees impacted this population; adjusted staffing to improve service levels and reduce wait time from 45 mins to 20 mins.
	Premier/Core		65% (86%)	48.1K (35K)	824 (779)		21%	6.4K (0.6K)	1039 (922)	
	Med Supp		38% (59%)	33.5K (36.1K)	740 (737)		n/a			Performance impacted by MA-PD demand (MA-PD takes priority for employees skilled on both) and issues (missing Jan premium statements, Silver Sneakers eligibility, vision eligibility). Training 15 BSC IFP reps to Med Supp to free additional capacity for MA-PD (see Medicare section above).
	Medi-Cal		79% (90%)	31K (31K)	604 (684)					Open during the weekends during State of Emergency
	FEP		78% (82%)	43.7K (44.2K)	724 (750)					
	Overall		65% (79%)	585K (539K)	928 (846)		25%	32.6K (10.6K)	-	1/13 Avaya outage, Rx prior auth issues and other active incidents, and southern CA wildfires have also impacted a number of badged BSC areas/teams.

Member (Data through 1/22/25)

	Area		Overall Operations Actual (forecasted)					Pharmacy Skills – subset of left Actual (forecasted)			Notes/Callouts
			MTD SL	Monthly SL	MTD Volume	MTD AHT	MTD ASA (sec)	MTD SL	MTD Volume	MTD AHT	
Priority Areas	Medicare		22.9%	21% (80% Target)	45.4K (30.6K)	1248 ⁽⁹⁷²⁾	666	26.8%	3.7K ^(1.1K)	1764 ⁽¹¹²⁷⁾	All call types are impacted due to substantially higher call volumes on all lines and early Jan issues (e.g. SFHSS Call the Car eligibility, Silver Sneakers portal, vision eligibility). 34 resources dedicated to MA-PD vs. shared with Med Supp on 1/21 (see Med Supp section below).
	Concierge		57.2%	62% (90% Target)	71.5K (74.3K)	856 ⁽⁷⁷⁴⁾	216	63.7%	1.4K (0.43K)	786 ⁽³²⁶⁾	Priority continues to be CalPERS and PGs. Adjustments made to load balance CalPERS Med Supp, Included Health Help Desk, and Trader Joes.
	CalPERS (Subset of Concierge)		76.9%	80%	46K	1165	28	63.6%	14K	800	
	IFP		73.1%	79% (60% Target)	146.9K (150.5K)	1051 ⁽⁹²⁸⁾	174	5.3%	10K ^(3.5K)	1649 ⁽⁶⁴⁹⁾	Adding Pharmacy skill to an additional 20 IFP agents and previously added 14 on 1/3 (for a total of 34). Adding an additional 30 agents to Pharmacy on 1/23.
	Small Group		63.3%	70% (80% Target)	18.5K ^(17.2K)	853 ⁽⁸⁹³⁾	149	34.3%	2.7K ^(1.2K)	1031 ⁽⁸⁶⁷⁾	Winter storm impact on 1/21 (7 agents) and 1/22 (3 agents) cause lower SL's that projected. Vendor is reviewing staff to move from IFP to SG.
	Designated		38.2%	51% (90% Target)	15.2K ^(13.4K)	816 ⁽⁷⁴⁷⁾	297	46.2%	0.34K (0.57K)	954 ⁽⁵⁰⁰⁾	Issues with providers and benefits on the BSC website and 655 termination letters for BSC employees impacted this population; no mitigation possible.
	Premier/Core		60.7%	63% (80% Target)	43K ^(24.3K)	856 ⁽⁷⁷⁶⁾	242	21.5%	4.9K (0.45K)	1132 ⁽⁴⁵⁰⁾	Calls are up 76% vs. locked forecast. Training and adding 25 Pharmacy Agents by 1/23
	Med Supp		42.2%	38% (80% Target)	21.3K (24.3K)	737 ⁽⁷³³⁾	305	n/a			Performance impacted by MA-PD demand and issues (missing Jan premium statements, Silver Sneakers eligibility, vision eligibility). Training 15 BSC IFP reps to Med Supp to free additional capacity for MA-PD (see Medicare section above).
	Medi-Cal		73.8%	80% (80%Target)	20.2K (20.6K)	588 ⁽⁶⁸¹⁾	43				Currently on track to meet monthly service levels.
	FEP		75.4%	80% (70% Target)	28.4K (28.1K)	759 ⁽⁷⁷⁵⁾	42				Currently on track to meet monthly service levels.
	Overall		60.4%	65%	414.2K (387.4K)	943 ⁽⁸⁴⁹⁾	222	19.8%	23K (7.4K)	1423 ⁽⁷²⁴⁾	1/13 Avaya outage, Rx prior auth issues and other active incidents, and southern CA wildfires have also impacted a number of badged BSC areas/teams. Winter storms impacting the vendor staff on 1/6, 1/21-23

Broker/Provider (Data through 1/22/25)

Area	Overall Operations Actual (forecasted)					Notes/Callouts
	MTD	Service Level	MTD Volume	MTD AHT	MTD ASA (sec)	
Broker (Target 80% SL)	66.4%	71% (82%)	21.1K (21.4K)	840 (799)	200	Additional resources were in nesting beginning 1/15 which has increased SL's into the 90's each day.
Provider (Target 80% SL)	54.8%	57% (89%)	153K (148.6K)	679 (659)	412	Balancing resource skilling to claims vs non-claims variances. Claims calls (-13%). Non claims calls +17% and AHT +17% to forecast.



Break



Provider Dispute Resolution

Mike Roehm

Provider Dispute Resolution

2024 Achievements

>99% In Compliance Cases for Open Inventory

Commercial, Medi-Cal and Medicare lines of business stabilized inventory as of August 2024 and achieved 0.7% out of compliance cases as of year-end

Out of Compliance Inventory Burndown Progress -

- 1/1/24 - 8,064 cases/11.8%
- 1/1/25 - 209 cases/0.7%

51%

Vendor Unit Cost Decrease with Move from Accenture to Sagility

From \$7.53/case to \$3.68/case

>95% Acknowledgement and Resolution Letter Timeliness Metrics

Paper Acknowledgement and Resolution Letter Timeliness over 95% as of August 2024 with the stabilization of PDR inventory

65%

Digital adoption across all lines of business

More than doubled overall digital adoption from ~24% in January 2024 to 65% in December 2024

Provider Dispute Resolution

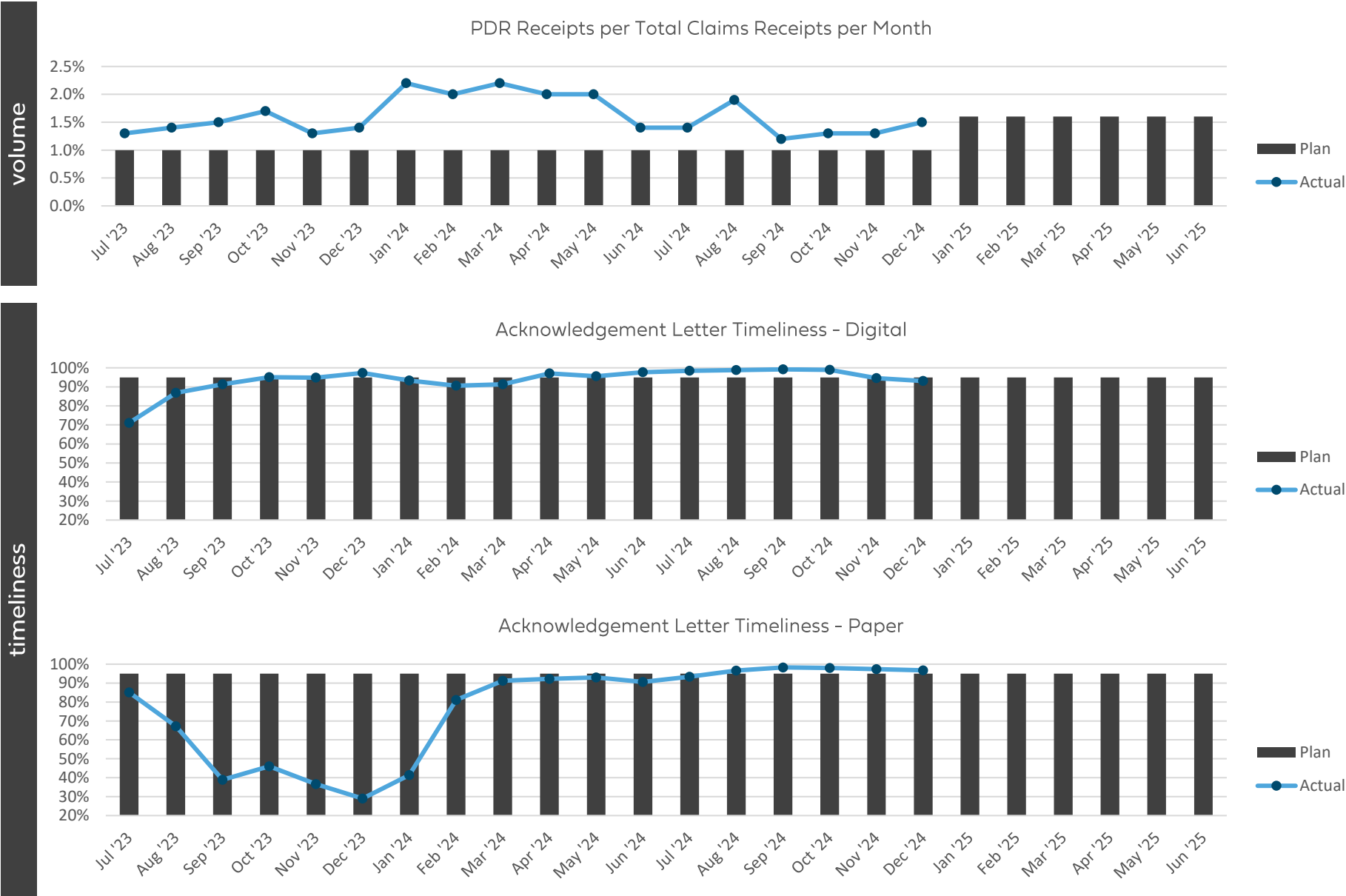
Year-to-Date Performance

PDR Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
495K	547K	415K	506K

PDR Volume per Claims Receipts			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
1.6%	1.7%	1.0%	1.6%

Acknowledgement Letter Timeliness (Digital)			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
80.4%	96.0%	95.0%	95.0%

Acknowledgement Letter Timeliness (Paper)			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
61.3%	87.0%	95.0%	95.0%



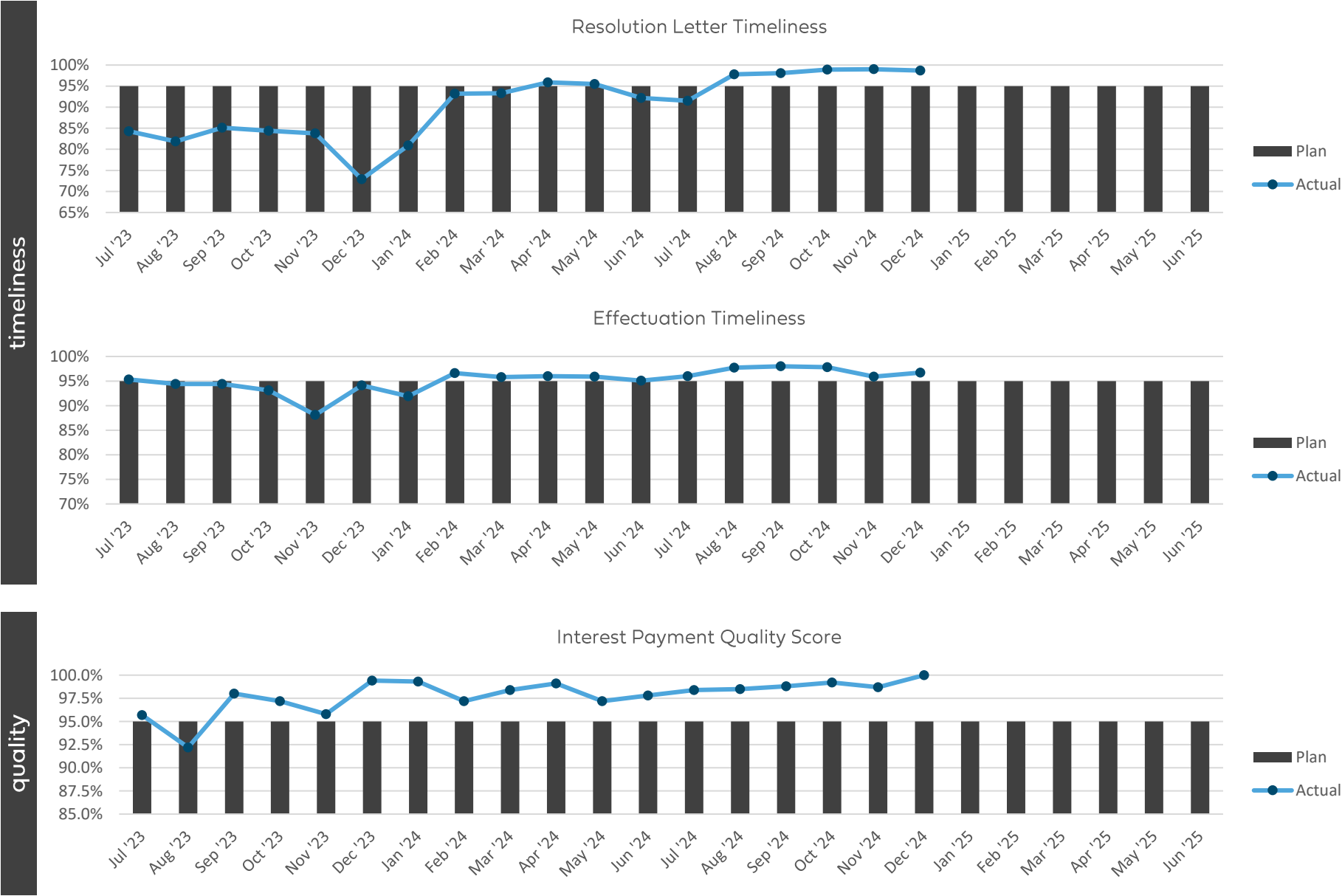
Provider Dispute Resolution

Year-to-Date Performance

Resolution Letter Timeliness			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
80.8%	94.3%	95.0%	95.0%

Effectuation Timeliness			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
93.7%	96.1%	95.0%	95.0%

Interest Payment Quality Score			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
95.5%	98.7%	95.0%	95.0%



Provider Dispute Resolution

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track as of
2024 paper acknowledgement letters timeliness of 87.0% missed plan of 95%. Trend for most recent three months: 98%, 97%, 97%	> 95% for rest of the year starting August 2024	Completed	Mike Roehm	August 2024
2024 resolution letters timeliness of 94.3% missed plan of 95%. Trend for most recent three months: 99%, 99%, 99%	> 95% for rest of the year starting August 2024	Completed	Mike Roehm	August 2024



Appeals & Grievances

Mike Roehm

Appeals & Grievances

2024 Achievements

Continuous Improvement

50%

Reduction in member reinstatement appeals volume

Launched self-reinstatements process online which allows member to complete reinstatements online for specific scenarios

Operational Performance

>95%

Timeliness Compliance - Key Performance Metrics

Met and/or exceeded performance:
5-Day Acknowledgement
72-Hour Expedited
30-Day Resolution

100%

Commercial Pharmacy appeals resolved timely with new process

Audit Readiness



2024 LA Care Annual Audit completed in September with no findings for Appeals and Grievances.

Critical Initiatives



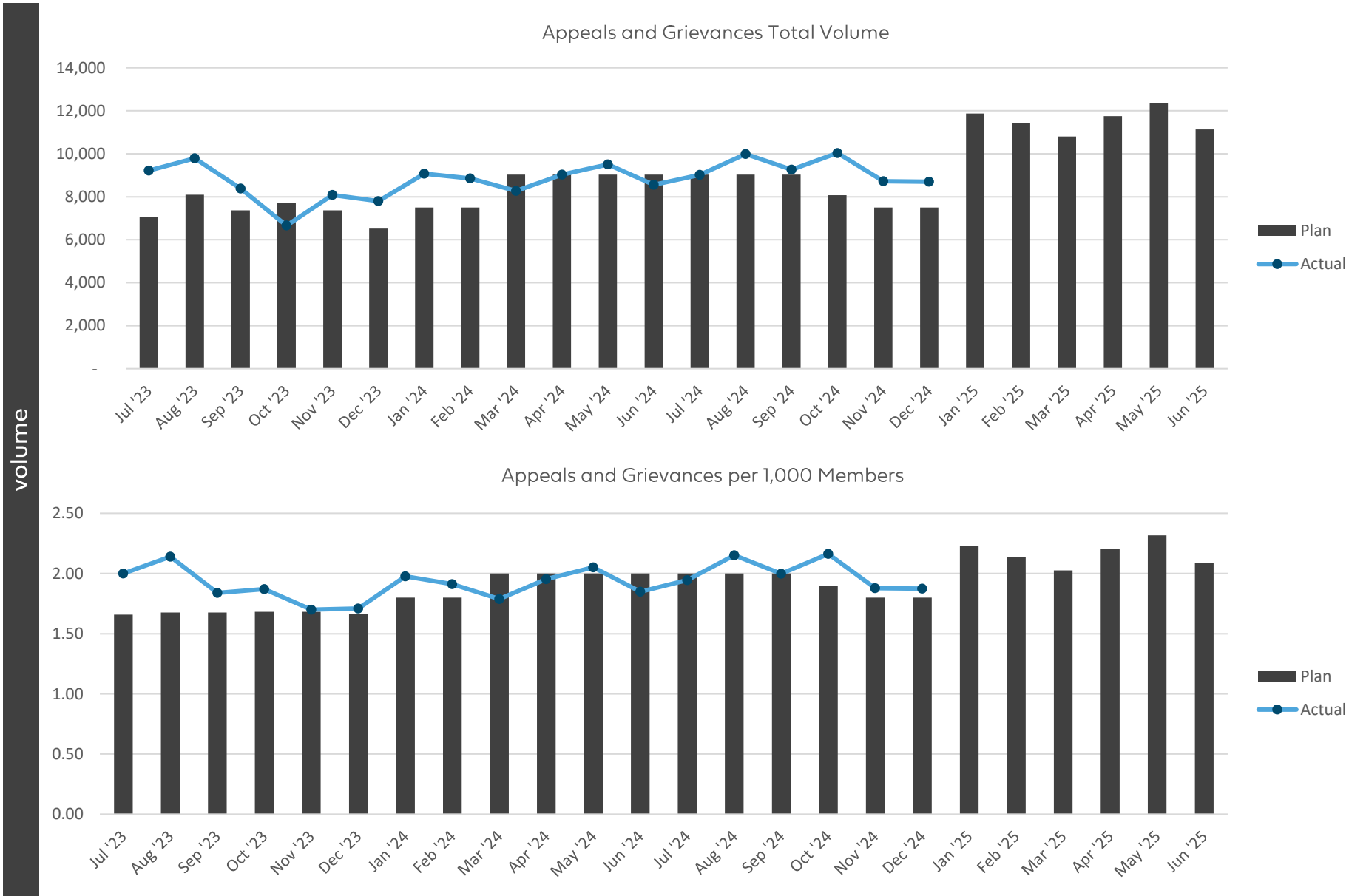
Partnership with Pharmacy and Medical Care Solutions solution to evaluate medical policy changes to appeals volume for GLP-1 drugs

Appeals and Grievances

Year-to-Date Performance

Appeals and Grievances Total Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
106K	109K	101K	139k

Appeals and Grievances per 1K Members			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
1.94	1.96	1.90	2.02

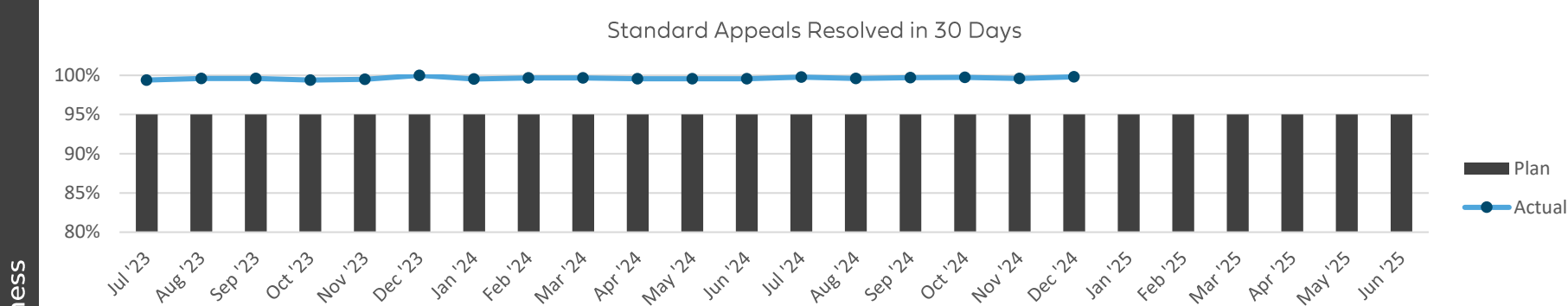


Appeals and Grievances

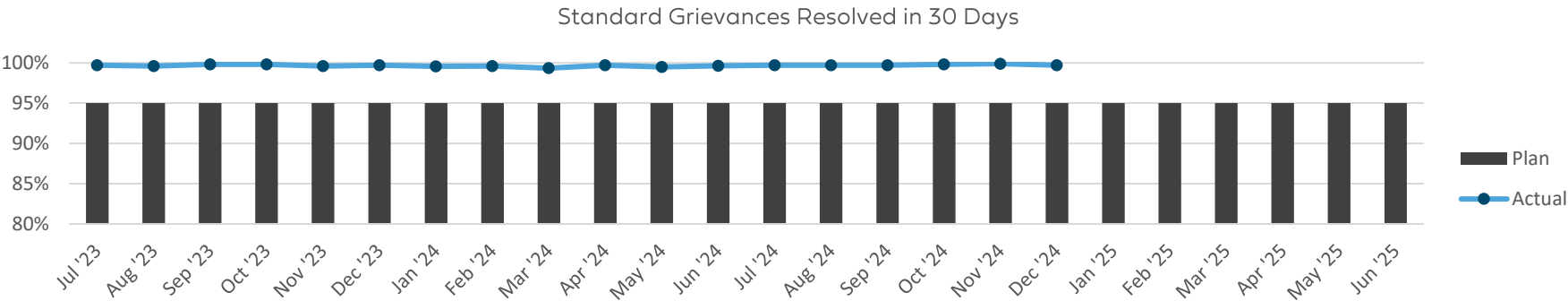
Year-to-Date Performance

Standard Appeals Resolved in 30-days

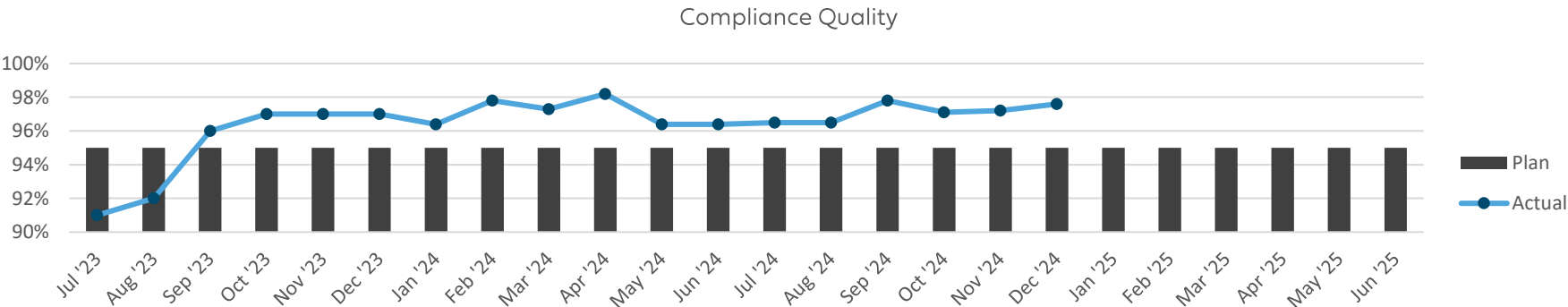
'23 Actual	'24 Actual	'24 Plan	'25 Plan
99.6%	99.6%	95.0%	95.0%



timeliness



quality



Standard Grievances Resolved in 30-days

'23 Actual	'24 Actual	'24 Plan	'25 Plan
99.5%	99.3%	95.0%	95.0%

% Compliance Quality			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
95.0%	97.1%	95.0%	95.0%

Appeals & Grievances

Off Track Items				
Problem Statement	Action Plan	Due Date	Owner	Back on Track by
2024 appeals and grievances volume per 1k members per month of 1.96 is higher than plan of 1.90. This is due to GLP-1 Drugs (~23% of total volume represents GLP-1 drugs).	Rapid Response team engaged to analyze the pharmacy process end-to-end, beginning with prior authorization and concluding with Appeals and Grievances.	1/31/25	Jaime Vega	3/31/2025



Dedicated Operations

Mike Roehm

Dedicated Operations

2024 Achievements

Commercial Client Operations



Executive TPA Dashboard in Tableau

Provides a comprehensive view of KPIs and metrics for oversight, strategic planning and proactive TPA/Shared Advantage claim inventory management



Expansion to Fully Insured/Flex Funded Client Support

Self-funded Client Operations expanded its service model to better serve all our clients with comprehensive, expedited issue resolution and external facing operational support for our Commercial clients.

Medicare Operations

100% Application Volume Transition to Pega

Successful transition of Medicare Supplemental and Medicare Group enrollments from Medicare Application Manager (MAM) to Medicare Enrollment Application (MEA) - Pega. Allowing for 100% of application volume processed in Pega



Medicare Enrollment Letters; Translation and Print Production Outsourced

Medicare Enrollment Letters; phase 7 of Internal Print Production outsourcing project completed (moving all enrollment communication types out of internal mailroom for print and mail – includes translated materials)



Enrollment and Billing

Mike Roehm

Enrollment & Billing

2024 Achievements

Operational Performance

15% Reduction in the inventory average cycle time

Due to process improvement and administrative efficiencies

Financial Performance

99.9% Covered Ca financial accuracy

Achieved 99.9% financial accuracy compared to a goal of 90%

Critical Initiative

~2M Pharmacy Reimagined Cards Issued

Implemented ID card changes and reporting to ensure the successful re-carding of 1.01M+ subscriber ID Cards plus managed new/renewing ID cards through Open Enrollment (~1.85M)

Continuous Improvement

1%-4% Increased straight through automation rate

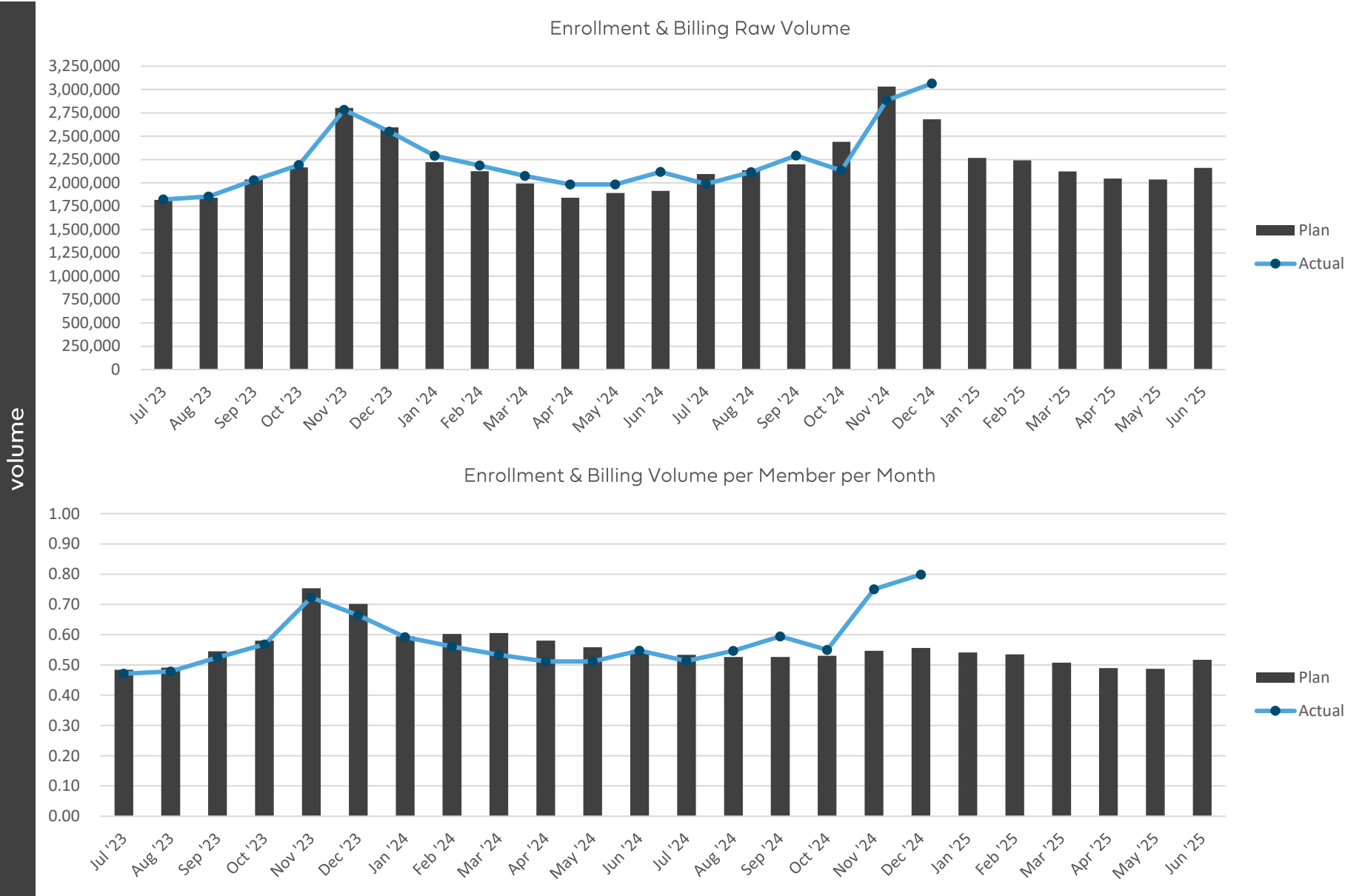
Increased straight through automation rate for IFP On Exchange by ~1% and 4.2% for the Employer Enrollment Tool

Enrollment & Billing

Year-to-Date Performance

Enrollment & Billing Raw Volume			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
26.0M	27.1M	26.6M	27.2M

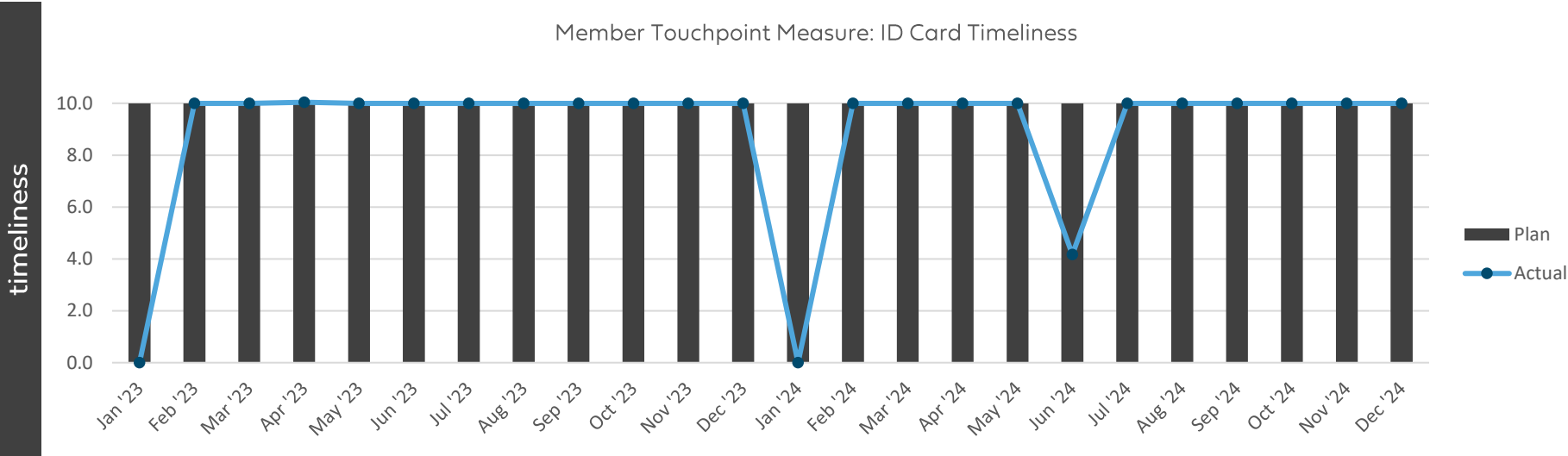
Enrollment & Billing Volume PMPM			
'23 Actual	'24 Actual	'24 Plan	'25 Plan
0.56	0.58	0.57	0.54



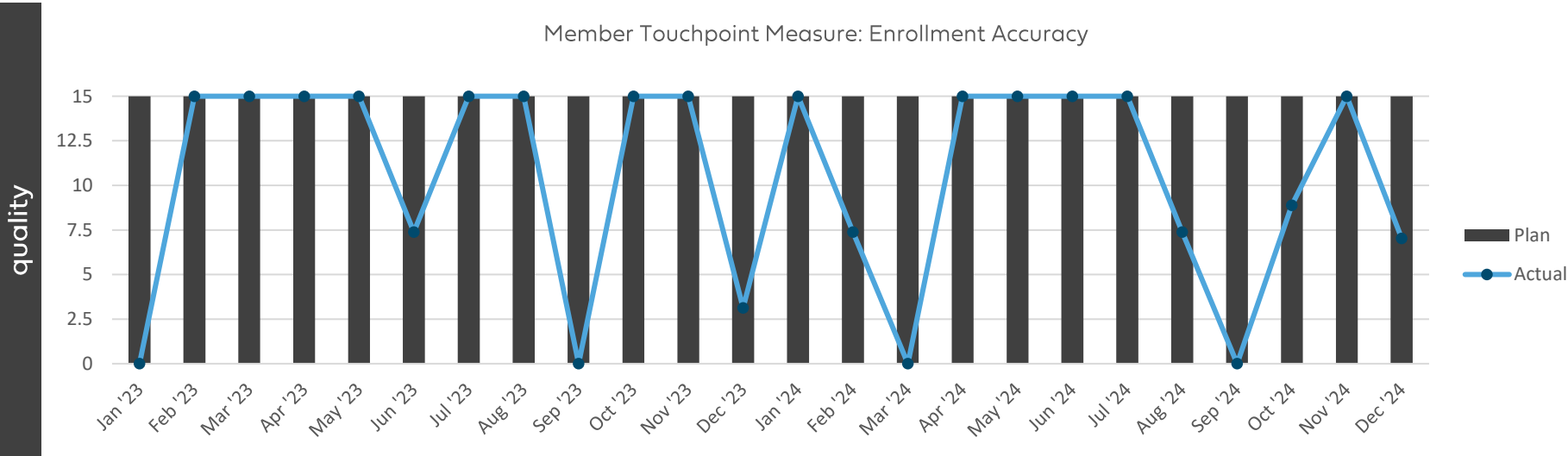
Enrollment & Billing

Year-to-Date Performance

MTM: ID Card Timeliness			
'23 2H Actual	'24 2H Actual	'24 2H Plan	'25 Plan
10.0	10.0	10.0	99% (LOS)



MTM: Enrollment Accuracy			
'23 2H Actual	'24 2H Actual	'24 2H Plan	'25 Plan
11.9	9.4	15.0	99% (LOS)



Enrollment and Billing

Off Track Items

Problem Statement	Action Plan	Due Date	Owner	Back on Track by
MTM Enrollment Accuracy received 9.4 points out of 15 points for the July – December 2024 measurement period due to a missed Facets IT requirement of identifying latest plan effective date.	- Short term: manually workarounds implemented to detect and fix. - Long term: update Facets code	6/30/25	Lori Castanon	Currently back on track and receiving full points for January.



Enablement

Melanie Petrosene

Enablement Responsibilities | Transformation, Operations, & Customer Experience

Melanie Petrosene, Senior Director of Enablement

Compliance, Regulatory, and Risk Management			Performance Enablement			Chief of Staff
Association Compliance	Regulatory and Risk Management		Growth	Quality	Operations	Operations & Transformation
BCBSA Programs Tina Kibler Pradip Khemani MTM/ Local Operations Scorecard National Programs Scorecard Federal Employee Program Provider Data Validation Audit	Internal Audits Tina Kibler Internal Audit & External Audit Risk Management Enterprise Risk Forum Swati Sharma, Michelle Nix, Venetia Marshall Internal Control Advisory Services Swati Sharma Corrective Action Plan Management Risks and Controls Legal Settlement Prevention Amanda Knudsen	Regulatory Venetia Marshall Medicare Richard Robinson, Marcos Mata Medi-Cal Yasamin Hafid Covered California Regulatory Dashboard Business Resiliency Tina Kibler Venetia Marshall Eddie Borrero Pradip Khemani Continuity & Disaster Recovery Vendor Governance	Ellen Sexton, General Managers Growth Interaction Model Strategic Alignment P&L Reporting LOB KPI Dashboard Performance Guarantees Large Group Performance Membership & Volume Alignment Open Enrollment/ Annual Election Period	Enterprise Ravi Kavasery Board Quality Improvement Committee Medicare Stars Christine McKinney Net Promoter Score Forrester Consumer Assessment of Healthcare Providers and Systems	Ops Oversight Vivian Phillips Husband, Betty Blakeman, Denise Ciufu, Mike Roehm Inventory Governance Accuracy Governance Centralized Root Cause Remediation Organizational Demand/ Capacity PCP Assignment/ Governance Data & Analytics Zohar Karu Data & Analytics Liaison Insights to Action	Operations & Customer Experience Millie Virgil, Vivian Phillips Husband, Betty Blakeman, Tim Evans, Denise Ciufu, Mike Roehm, Bryce Williams Senior Leadership Reporting Cross-functional Strategic Alignment Strategic Funding & Execution Annual Planning and Budget Management Business Reviews Annual Goal Setting and Execution



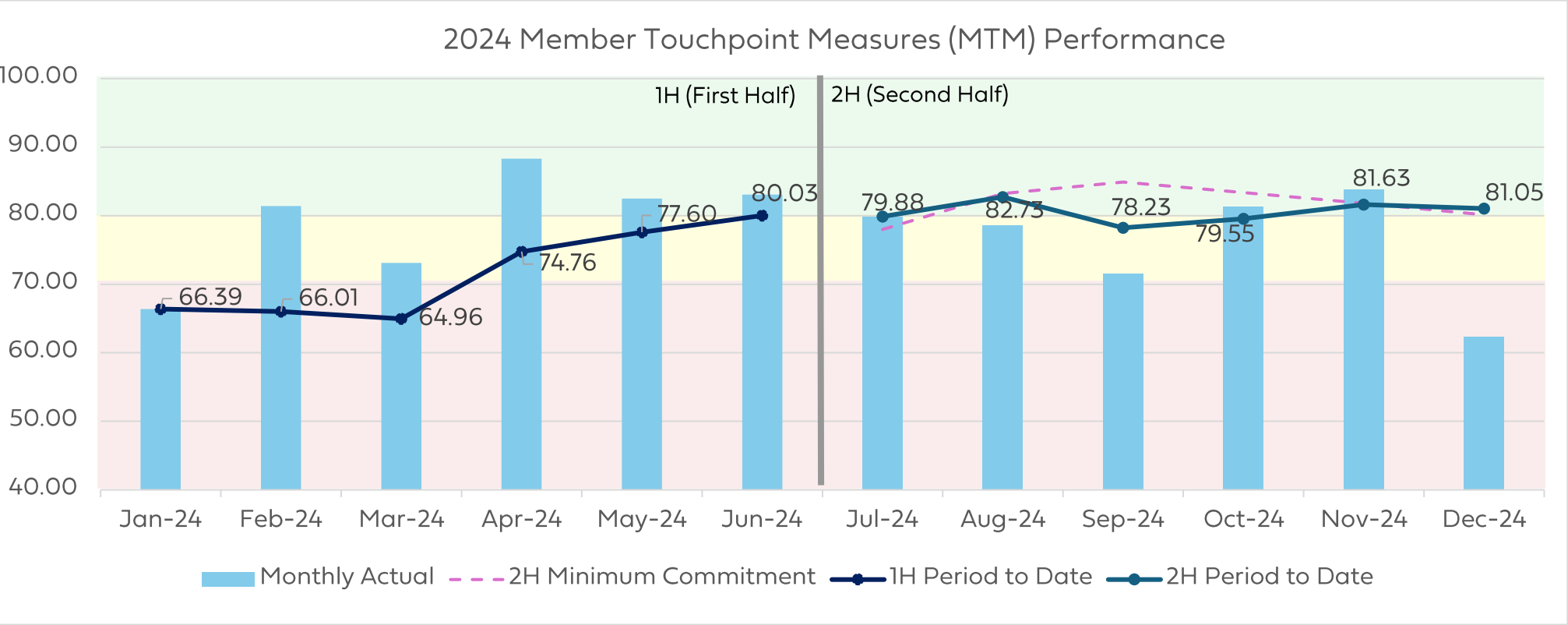
Member Touchpoint Measures

Melanie Petrosene

Member Touchpoint Measures (MTM) 2024 Performance

The association’s goal of 80 pts. or above was met for both halves

Member Touchpoint Measures (MTM) is a Blue Cross Blue Shield Association (BCBSA) program that assesses operational and service performance for all BCBS licensed plans by monitoring enrollment processing, claims processing and customer service functions. The performance data is collected and measured on a semi-annual basis by Internal Audit.

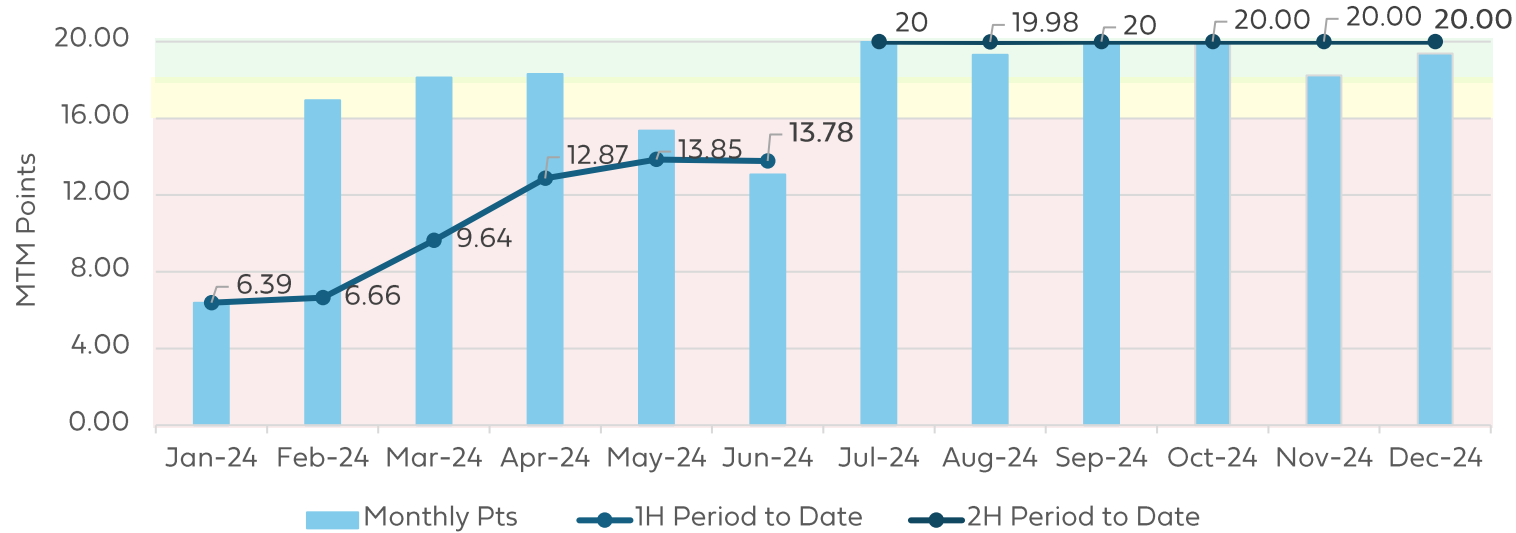


Performance	Description
80 pts. or above	BCBSA Goal for all health plans
Below 80 pts.	- Quarterly meetings with BCBSA - Quarterly Performance and Action Plan Review
Below 70 pts. for two consecutive periods	- Plan Performance and Response Process (PPRP) Brand Protection Monitoring - Monthly meetings with BCBSA

Effective January 1, 2025 BCBSA replaced MTM with Local Operations Scorecard (LOS). LOS is an updated version of the MTM program with revised point reallocation on timeliness measures and increased focus on self-service inquiries to reflect industry trends. LOS was piloted alongside MTM in 2024 to ensure readiness in 2025.

Timeliness Measures are Doing Well and Accuracy Measures are the Focus

2024 MTM *Timeliness* Performance

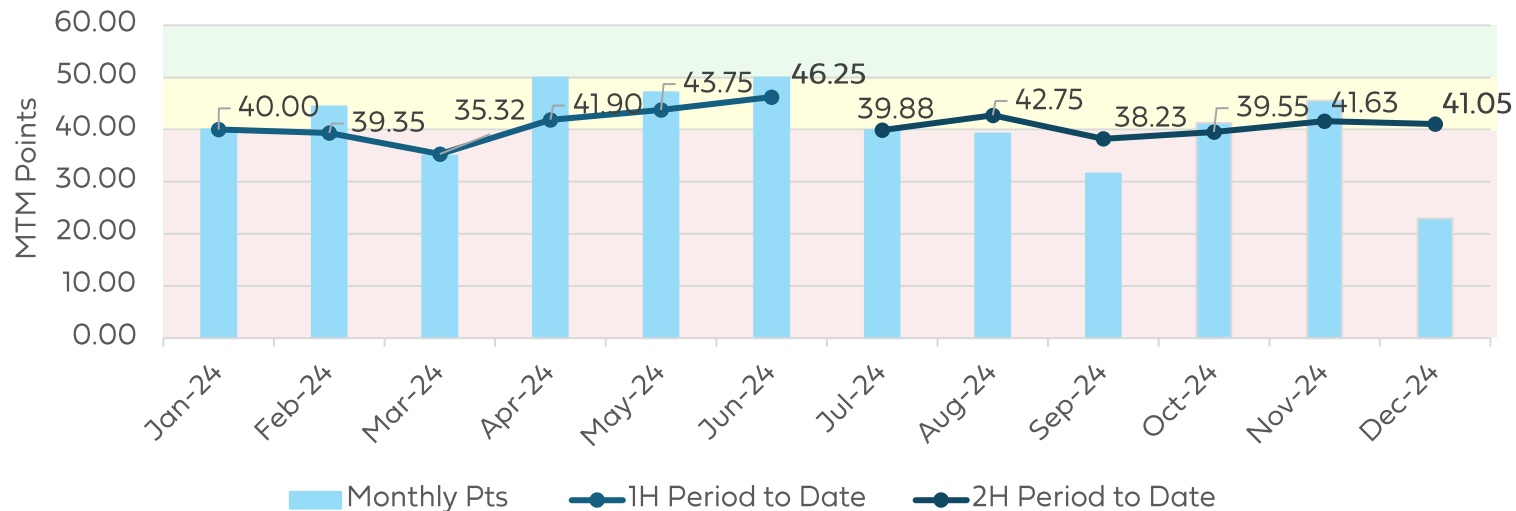


Timeliness Measures (20 points max)

Action items addressing the root causes have been effective

- Burned down inventory backlogs due to mailroom activation delays and SB510 legal holds. (Feb-May)
- Partnered with Data and Analytics to launch enterprise open inventory dashboard for improved visibility and management. (May)
- Partnered with Internal Audit to remove cases that are subject to MTM exclusions (Payment Integrity, Corporate Recoveries, SIU, HEAT, Medical Records etc.) (Jun)

2024 MTM *Accuracy* Performance



Accuracy Measures (60 points max)

Accuracy measures have been more challenging to control. Root causes have been identified and action items developed.

Timeliness Points (20) + Accuracy Points (60) + Free Points (20) = 100 total MTM points

Root Cause Remediation for Accuracy Measures Has Been a Key Focus Area

Accuracy Measure	Points Range	2024 2H LOS Points	Top Root Causes Error Drivers	Key Actions Completed	Upcoming Key Actions
	Performance Range	2024 2H Performance			
Enrollment Accuracy	0 – 15 pts.	9.38	- Missed EDI IT requirements for unique scenarios. - Human error – incorrect processing, not following desk level procedures.	- EDI code fixes implemented for the unique scenarios missed. (Throughout 2024) - Medi-Cal EDI Dashboard – Provides visibility to the status of Medi-Cal EDI file enrollments (Nov) - Desk level procedures updated to minimize the risk of confusion for reinstating dependents (Oct) - ID Card - High Risk Fields trigger report - Provides visibility into high-risk field changes and if an ID Card should’ve been triggered. (Nov)	- Pega Inventory Workflow Management - Partner with Transformation to move all SAW (Zombie Tool) inventory management to Pega. (Throughout 2025) - Engaged with Blue Cross and Blue Shield of South Carolina to evaluate the opportunity of moving ID Card to census reporting vs sample based to ensure full points on ID cards (Mar) - Annually review (EDI and ID card) business rules, companion guides, LOS guides and system functionality to ensure they align and are functioning as expected (Jun)
	95% - 99%	97.50%			
Inquiry Accuracy: Manual	0 – 10 pts.	0	- Incorrect benefit quoting - Claims inquiry inaccuracies - Promised Actions process not followed - System Issues (IT, Vendor)	- Implemented leadership role changes to better support agents and increased supervisor live call listening from 30% to 70% (Sep) - Implemented 100% peer review at Sagility for written inquiries (Jul – Aug) - Developed Promised Actions Report to help supervisors and agents follow up on promised actions (Dec) - Addressed all system driven issues by partnering with IT and appropriate vendors (Apr – Nov) - Implemented Agent Assist Chat Line for live agent support (Dec)	- Operationalize the developed Decision Tree and WalkMe tools to help agents with benefit accuracy (Mar) - Artificial intelligence – enable use of AI to help with quoting benefits. Proof of concept funded for Q1. (Mar) - Reintroduction of Lead roles : Bring back lead roles to provide real time floor support (Pilot with high performers, Ops specialists – Q1). - New Hire Curriculum training revamp to improve claims training and extended nesting period (May)
	90% - 95%	85.97%			
Three other measures received near full points 38.54/40 - Inquiry Accuracy: Other Self Service (EDI, IVR) - Claims Financial Dollar Accuracy - Claims Financial Frequency Accuracy - Inquiry Accuracy: Web Self Service			Continue strengthening self-audit programs and internal controls to maintain high performance		

2024 LOS vs MTM Performance

Effective January 2025, the MTM program has been replaced by LOS.

- 2H 2024 LOS performance was slightly higher than 2H 2024 MTM performance
- Largely due to receiving all full points (35/35) on all three claims measures on LOS compared to partial points (26.67/30) on MTM.
 - This is due to the differences in how accuracy measures are being calculated for LOS vs MTM.
- Timeliness measures performed well on both LOS and MTM in 2H.
- MTM Full points (20/20)
 - LOS almost full points (34.05/35)

MTM versus LOS Measures		LOS 2024 1H	MTM 2024 1H	LOS 2024 2H	MTM 2024 2H
Total		79.03	80.03	81.97	81.05
Claims	Claims Financial Dollar Accuracy	15.00	15.00	15.00	15.00
	Accuracy	99.19%	99.93%	99.72%	99.41%
	Claims Financial Frequency Accuracy	10.00	10.00	10.00	6.67
	Accuracy	99.15%	98.00%	98.71%	97.00%
	Claims Timeliness	9.09	4.55	10.00	5.00
	Timeliness Performance	98.82%	98.82%	99.40%	99.40%
Customer Experience	Inquiry Accuracy - Manual	0.00	0.00	0.00	0.00
	Accuracy	86.00%	86.00%	85.97%	85.97%
	Inquiry Timeliness	9.31	2.98	9.05	5.00
	Timeliness Performance	94.31%	90.96%	94.05%	94.99%
Enrollment	Enrollment Accuracy	11.25	11.25	9.38	9.38
	Accuracy	98.00%	98.00%	97.50%	97.50%
	Enrollment (ID Card) Timeliness	9.38	6.25	15.00	10.00
	Timeliness Performance	97.50%	97.5%	100.0%	100.0%
Configuration & Product	Inquiry Accuracy - Other Self-Service	10.00	10.00	10.00	10.00
	Accuracy	100.00%	100.00%	99.18%	99.18%
Digital (LOS Only)	Inquiry Accuracy - Web Self-Service	5.00	N/A	3.54	N/A
	Accuracy	100.00%	N/A	97.54%	N/A
Free Points		N/A	20.00	N/A	20.00

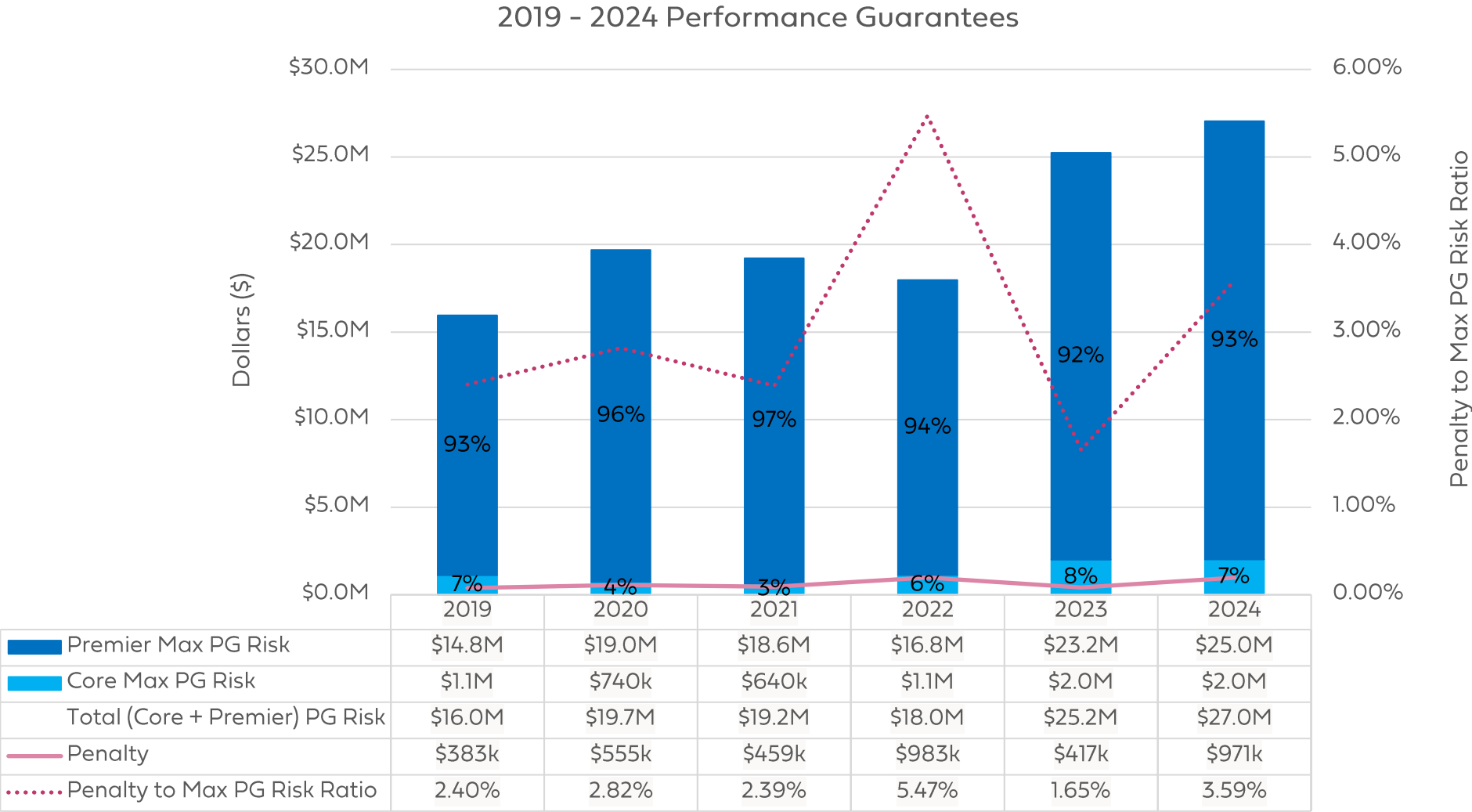


Performance Guarantees

Melanie Petrosene

Historical review of Core/Premier Group Operational Performance Guarantees

\$9.1M increase in Max PG risk in 2024 compared to 2022; Penalties are \$971k for 2024

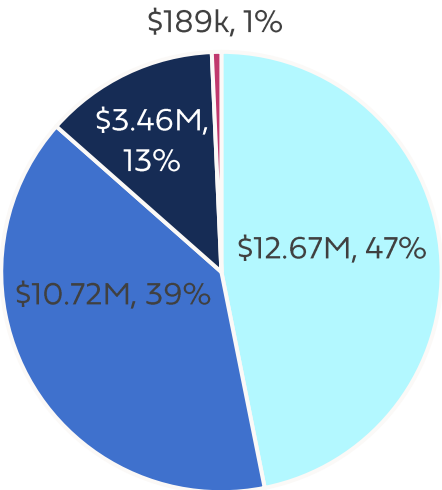


2024 numbers are estimates based on underwriting’s forecast of groups’ revenue. Actual revenue and penalties will be finalized by March 31, 2025.

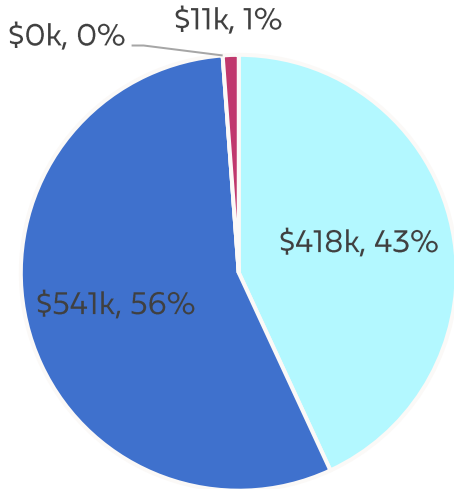
2024 Performance Guarantee Financial Performance by Operational Area

Claims (\$12.7M, 47%) and Customer Service (\$10.7M, 39%) account for 87% of PG financial risk

2024 Maximum PG Risk By Operational Area



2024 PG Penalty Forecast



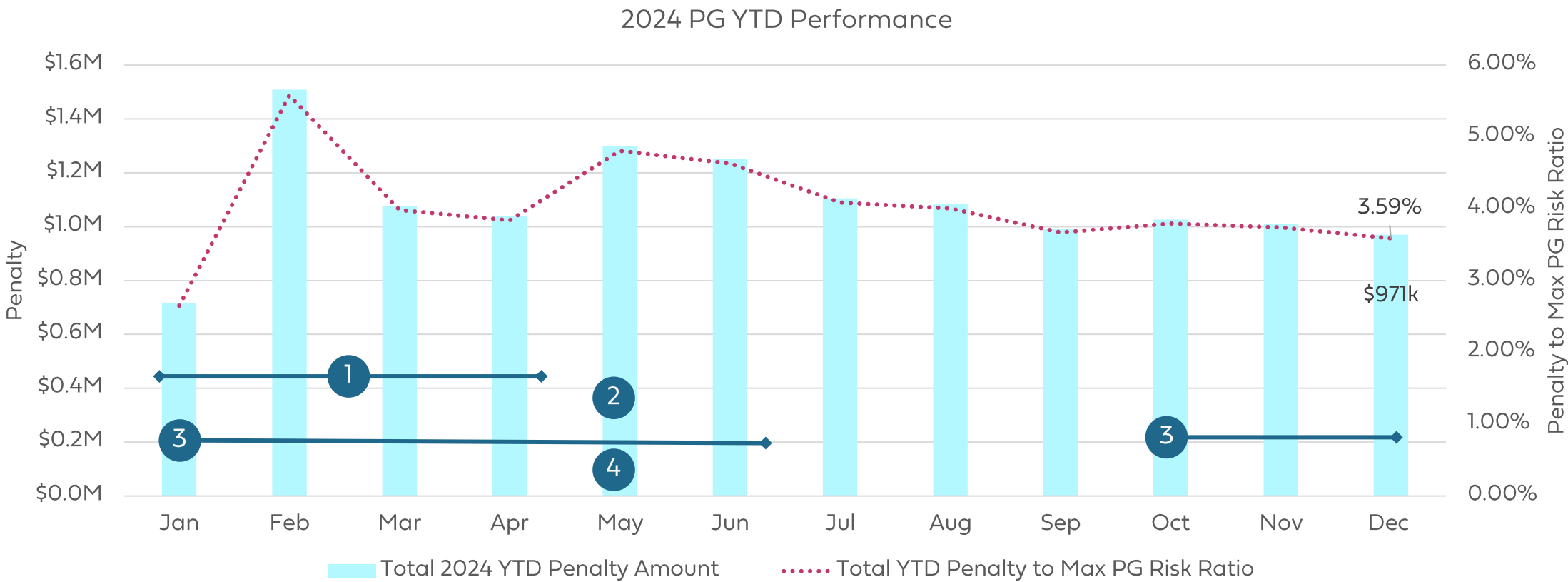
Claims Customer Service Installation & Billing Appeals & Grievances

Claims Customer Service Installation & Billing Appeals & Grievances

Operational Area	Maximum PG Risk	2024 Actual Penalty	2024 Penalty to Max PG Risk Ratio
Claims	\$12.7M	\$418k	3.30%
Customer Service	\$10.7M	\$541k	5.04%
Installation & Billing	\$3.5M	\$0k	0.00%
Appeals & Grievances	\$189k	\$11k	6.04%
Total	\$27.0M	\$971k	3.59%

2024 PG performance has been largely impacted by four big drivers

Top 4 penalty drivers account for 83% of penalties Dec YTD (\$805k out of \$971k)



Top 4 Penalty Drivers (account for \$805k out of the \$971k YTD Penalty)

- 1 Jan - Apr: **Mailroom Activation Delays**: impacting turnaround times (TAT) for Claims and Customer Service Written Correspondence (\$500k)
- 2 May: **SB510 Legal Hold claims release delays**: high volume and alignment with medical directors to ensure accuracy and data completeness in May impacting Claims TAT (\$108k)
- 3 Q1, Q2 & Q4: **Abandonment Rate (Timeliness)**: High volumes related to Open Enrollment & system availability impacting abandonment and average speed to answer (\$103k)
- 4 May: **Fee Schedule Broadcast Incident**: Update by Cognizant (vendor) omitted key data values resulting in claims processing incorrectly. (\$94k)

2024 PG Penalty Drivers and Root Cause Remediation Breakdown

December YTD Penalty Amount (% of total YTD penalty)	Penalty Driver Brief Description	Root Cause Action Plan Status	Performance Guarantees YTD Metrics Misses
1 \$500k (51% of total)	Mailroom activation delays causing turnaround (TAT) delays for Claims and Customer Service written correspondence.	Resolved 4/30/24	5 claims timeliness metrics (\$142k) 11 written correspondence timeliness metrics (\$361k)
2 \$108k (11% of total)	SB510 Claims Legal holds processing delays Delays in May claims timeliness performance due high volume of claims and addition alignment needed with medical directors to ensure claims were reprocessed correctly and no encounters data was missed.	Resolved 5/31/24	2 claims timeliness metrics - Full penalty for SFHSS for Q2 (\$65k) - Providence (\$43k)
3 \$103k (11% of total)	Abandonment Rate (Timeliness) Q1: Open Enrollment High Volumes Q2: System availability/issues. Q4: Average speed to answer (ASA)	Resolved 3/31/24 6/30/24	2 abandonment rate misses and 1 ASA miss 1 abandonment rate missed (\$24k) Q1 1 abandonment rate missed (\$64k) Q2 1 ASA missed for County of Orange (\$14k) Q4
4 \$94k (10% of total)	Fee Schedule Broadcast incident – Fee schedules updated and broadcasted by Cognizant update omitted key data values resulting in claims to process incorrectly.	Resolved 5/31/24	2 claims payment accuracy misses for SFHSS for Q2 (\$93k)
\$80k	Missed IT Requirement Automated case activation post Shield Advisor migration negatively impacting e-service metric due to lack of visibility allowing prioritization of PG groups.	Resolved 02/28/24	6 e-services inquiry metrics missed (\$89k) - Estimating recovery of 3 out of the 6 metrics (\$9k)
\$43k	System Issue by overpaying claims that should have denied. Duplicate rules are not functioning as intended.	In Progress 3/31/2025	1 financial accuracy miss (\$43k) Providence – fix implementation date March 31, 2025. Requires systemic update.
\$32k	Manual claims processing issues by Sagility impacting accuracy. Human errors incorrectly applying benefits and incorrect denial. Documentation gaps.	Resolved 04/03/24	1 claims payment accuracy missed for SFHSS Q1 (98.39% vs goal of 99%) 1 claims processing accuracy miss for Alhambra (\$8k)
\$11k	Late Case Transfer/Low Volume (Timeliness) Appeals and Grievances missed timeliness on three cases total in the first half of 2024 and acknowledgement letter on one case in 2nd half of 2024.	Resolved	1 appeals timeliness missed for Q1 (County of Orange) 1 appeals acknowledgement letter (Okta)
\$971k	Total		

2024 PGs Breakdown by the 57 Group (40 groups have zero penalties)

Top five groups for 2024 account for 78% of penalties (\$755k out of \$971k total)

#	Group Name	Notes	2024 PG Max Risk Exposure	2024 PG Penalty	Comments
1	San Francisco Health Service System Fund	Quarterly	\$886k	\$270k	Penalties incurred in Q2. No penalties in Q1, Q3 and Q4
2	County of San Bernardino - ACTIVES	Offset Calendar 7/29/24	\$1.1M	\$233k	Mailroom transformation activation delays impacting claims and written correspondence timeliness.
3	Providence Health & Services		\$1.7M	\$87k	SB510 Legal Hold Claim Delays (\$43k)
4	Reta Trust	Offset Calendar 7/1/24	\$551k	\$85k	Mailroom transformation activation delays impacting written correspondence and Shield Link missed IT requirements impacting e-services timeliness.
5	California's Valued Trust	Offset Calendar 9/30/24	\$321k	\$80k	Mailroom transformation activation delays impacting written correspondence and claims timeliness. Shield Link missed IT requirements impacting e-services timeliness.
Sub – Total 12 other groups in penalty			\$2.7M	\$216k	
Sub – Total 40 Other Groups with no penalty			\$19.8M	\$0K	
Grand Total			\$27.0M	\$971K	

There are 31 Premier groups and 26 Core groups in scope for 2024 Performance Guarantees

Premier Groups make up over 90% of maximum Performance Guarantees at risk and over 95% of 2024 estimated penalties

31 Premier Groups	Total Metrics	Maximum PG Risk	2024 Penalty Estimate
Trinet HR III, Inc	8	\$11.2M	-
SISC	20	\$2.1M	-
Trader Joe's	10	\$1.9M	-
Providence Health & Services	11	\$1.7M	\$87k
County of San Bernardino - ACTIVES	20	\$1.1M	\$233k
San Francisco Health Service System Fund	52	\$886k	\$270k
CSEBA	24	\$727k	\$61k
Palo Alto Networks Inc	13	\$551k	\$28k
Reta Trust	13	\$551k	\$85k
County of Orange	44	\$489k	\$22k
Municipalities, Colleges, Schools Insurance Group (MCSIG)	7	\$466k	-
California's Valued Trust	11	\$321k	\$80k
Advantage Sales & Marketing LLC	4	\$312k	-
CAPE	6	\$300k	-
Insperty Holdings, Inc.	5	\$260k	\$52k
Santa Ana Unified School District	5	\$241k	-
Northern California Pipe Trades	5	\$224k	-
City of Anaheim	3	\$213k	-
CCPOA	7	\$193k	-
Activision Blizzard, Inc.	5	\$185k	-
Glendale Unified School District	5	\$180k	-
PRISM	7	\$155k	-
Wilbur Ellis	6	\$146k	-
AAA NCNU	9	\$132k	\$8k
Mercury Insurance Group	6	\$129k	-
San Manuel Band of Mission Indians	5	\$125k	-
County of Ventura	5	\$89k	-
City of Riverside	3	\$89k	-
North Coast Schools Medical Insurance Group	5	\$50k	-
County of San Bernardino - RETIREES	5	\$14k	\$2k
Tutor-Perini Corporation	6	\$7k	\$1k
Grand Total	335	\$25.0M	\$928k

26 Core Groups	Total Metrics	Maximum PG Risk	2024 Penalty Estimate
Coupa Software	13	\$196k	\$15k
Intuitive Surgical Incorporated	5	\$191k	-
Infinera, Inc.	3	\$179k	-
Banc of California, Inc.	3	\$150k	-
Okta Inc.	13	\$138k	\$4k
The Claremont Colleges, Inc.	3	\$124k	-
HashiCorp	14	\$97k	\$14k
Northgate Gonzalez Markets, Inc.	6	\$94k	-
Powerschool Group LLC	8	\$88k	-
Amerit Fleet Solutions	5	\$81k	-
Mediatek USA Inc. (MMX)	5	\$79k	-
Alhambra Unified School District	5	\$79k	\$8k
Reddit, Inc.	6	\$64k	-
Payward DBA Kraken	3	\$61k	-
Blend Labs, Inc.	12	\$61k	-
Yelp!	8	\$50k	-
Wescom Credit Union	3	\$46k	-
Arista Networks, Inc.	2	\$35k	-
SA Recycling, LLC	6	\$33k	\$1k
Jackson Rancheria Band of Miwuk Indian	6	\$32k	-
Delphix Corporation	3	\$31k	-
Mendocino Forest Products	7	\$30k	-
Nikon Precision	7	\$24k	-
JFC International/Kikkoman Sales	5	\$21k	-
Pinterest, Inc	2	\$20k	-
FreshRealm, Inc.	7	\$16k	-
Grand Total	160	\$2.0M	\$42k



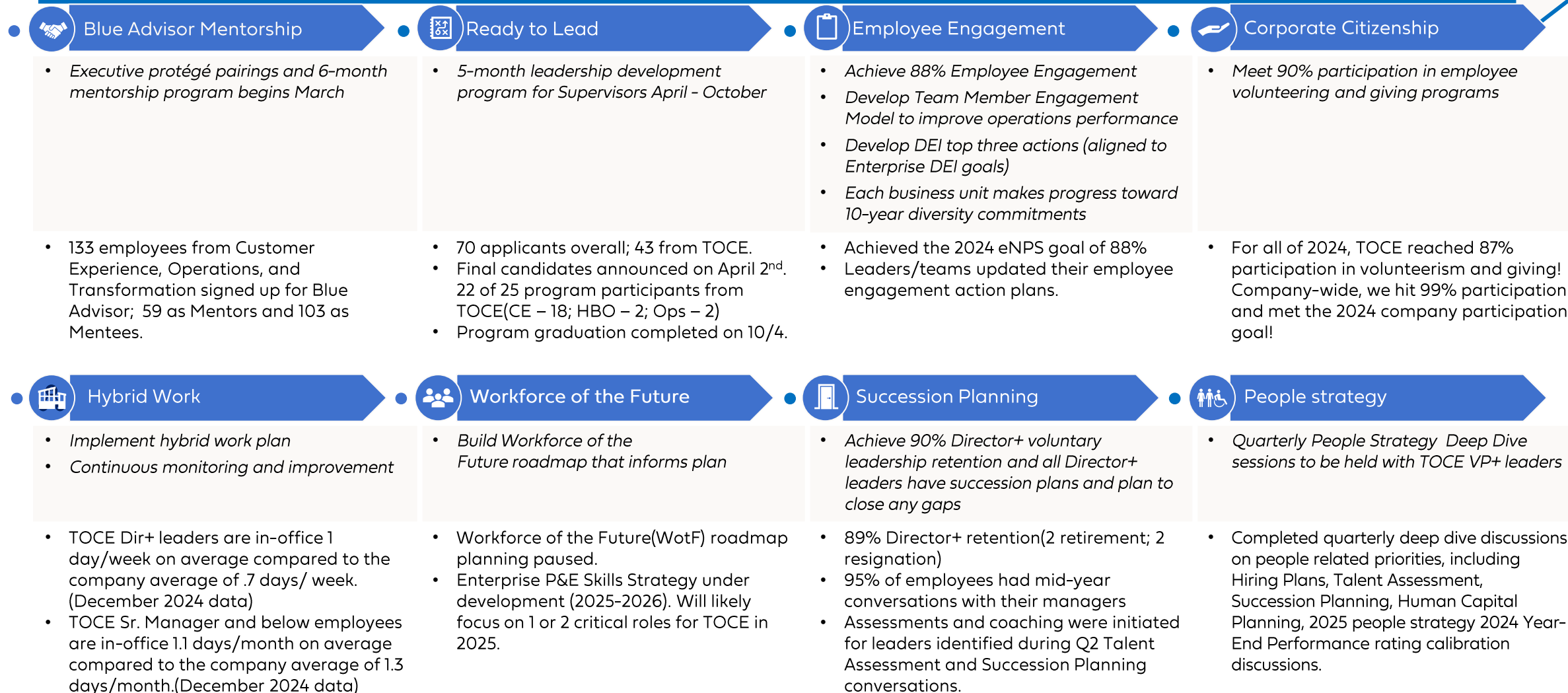
People Strategy

Jon Hillis

People and Engagement

2024 Journey

■ Complete
■ In Progress





Pass the GOAT

Marci Flinders